



YALE NEW HAVEN HEALTH SERVICES CORPORATION
(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidated Financial Statements and
Supplementary Information

September 30, 2025 and 2024

(With Independent Auditors' Report Thereon)

YALE NEW HAVEN HEALTH SERVICES CORPORATION
(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidated Financial Statements and
Supplementary Information

September 30, 2025 and 2024

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Independent Auditors' Report

The Board of Trustees

Yale New Haven Health Services Corporation d/b/a Yale New Haven Health System and Subsidiaries:

Opinion

We have audited the consolidated financial statements of Yale New Haven Health Services Corporation d/b/a Yale New Haven Health System and Subsidiaries and its subsidiaries (the System), which comprise the consolidated balance sheets as of September 30, 2025 and September 30, 2024, and the related consolidated statement of operations and changes in net assets, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the System as of September 30, 2025 and September 30, 2024, and the results of its operations and its cash flows for the years then ended in accordance with U.S. generally accepted accounting principles.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the System and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with U.S. generally accepted accounting principles, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the System's ability to continue as a going concern for one year after the date that the consolidated financial statements are issued.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.



In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the System's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the System's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The 2025 consolidating financial statement information is presented for purposes of additional analysis and is not a required part of the consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the information is fairly stated in all material respects in relation to the consolidated financial statements as a whole.

KPMG LLP

Virginia Beach, Virginia
December 16, 2025

YALE NEW HAVEN HEALTH SERVICES CORPORATION

(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidated Balance Sheets

September 30, 2025 and 2024

(In thousands)

Assets	2025	2024
Current assets:		
Cash and cash equivalents	\$ 606,588	668,811
Short-term investments	3,116,991	3,023,849
Patient receivables	738,899	768,493
Professional liabilities insurance recoveries receivable	82,923	105,210
Other assets	358,054	305,652
Assets limited as to use – debt service fund	2,400	8,576
Total current assets	4,905,855	4,880,591
Assets limited as to use	192,534	216,961
Long-term investments	448,098	417,599
Interest in the net assets of Greenwich Hospital Endowment Fund, Inc. (GHEF)	135,023	129,265
Professional liabilities insurance recoveries receivable	204,843	194,446
Other assets	174,330	184,058
Right of use assets	263,311	296,835
Property, plant, and equipment, net	2,700,171	2,444,652
Goodwill	239,922	267,108
Total assets	\$ 9,264,087	9,031,515

YALE NEW HAVEN HEALTH SERVICES CORPORATION
(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidated Balance Sheets

September 30, 2025 and 2024

(In thousands)

Liabilities and Net Assets	2025	2024
Current liabilities:		
Accounts payable and accrued expenses	\$ 1,227,792	1,089,541
Current portion of long-term debt	22,535	20,450
Variable rate debt classified as current	157,943	161,653
Current portion of finance lease obligation	3,015	2,921
Current portion of professional insurance liabilities	82,923	105,210
Operating lease liability – short-term	43,760	47,201
Other liabilities	114,873	114,283
Total current liabilities	<u>1,652,841</u>	<u>1,541,259</u>
Long-term debt, net of current portion and deferred financing costs	1,675,418	1,697,012
Long-term finance lease obligations, net of current portion	73,815	78,691
Accrued pension and postretirement benefit obligations	138,586	97,031
Professional insurance liabilities, net of current portion	328,558	304,022
Operating lease liability – long-term	229,122	258,254
Other liabilities	352,768	350,313
Total liabilities	<u>4,451,108</u>	<u>4,326,582</u>
Net assets:		
Net assets without donor restrictions	4,279,109	4,189,840
Net assets with donor restrictions	533,870	515,093
Total net assets	<u>4,812,979</u>	<u>4,704,933</u>
Total liabilities and net assets	<u>\$ 9,264,087</u>	<u>9,031,515</u>

See accompanying notes to consolidated financial statements.

YALE NEW HAVEN HEALTH SERVICES CORPORATION

(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidated Statements of Operations and Changes in Net Assets

Years ended September 30, 2025 and 2024

(In thousands)

	2025	2024
Net assets without donor restrictions:		
Patient service revenue	\$ 6,423,071	6,351,404
Other revenue	<u>1,156,499</u>	<u>885,869</u>
Total operating revenue	<u>7,579,570</u>	<u>7,237,273</u>
Operating expenses:		
Salaries and benefits	3,654,252	3,552,057
Supplies and other	3,638,134	3,297,269
Insurance	<u>126,859</u>	<u>101,667</u>
	<u>7,419,245</u>	<u>6,950,993</u>
Operating income before depreciation, amortization, interest, and restructuring expenses	<u>160,325</u>	<u>286,280</u>
Depreciation and amortization	265,336	219,636
Interest	<u>34,065</u>	<u>20,470</u>
Operating (loss) income before restructuring expenses	<u>(139,076)</u>	<u>46,174</u>
Restructuring expenses	<u>57,741</u>	<u>—</u>
Operating (loss) income	<u>(196,817)</u>	<u>46,174</u>
Nonoperating gains (losses), net:		
Income from investments, donations, and other, net	271,872	378,219
Pension cost other than service cost, net	(4,940)	(3,071)
Change in fair value of swap, including counterparty payments	<u>21,220</u>	<u>(10,524)</u>
Total nonoperating gains, net	<u>288,152</u>	<u>364,624</u>
Excess of revenue over expenses	<u>91,335</u>	<u>410,798</u>
Other changes in net assets without donor restrictions:		
Other	4	58
Net assets released from restrictions for purchases of property, plant, and equipment	49,899	13,108
Pension and postretirement related changes other than net periodic benefit cost	<u>(51,969)</u>	<u>46,788</u>
Changes in net assets without donor restrictions	<u>89,269</u>	<u>470,752</u>

YALE NEW HAVEN HEALTH SERVICES CORPORATION

(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidated Statements of Operations and Changes in Net Assets

Years ended September 30, 2025 and 2024

(In thousands)

	<u>2025</u>	<u>2024</u>
Net assets with donor restrictions:		
Income from investments	\$ 4,051	4,364
Net realized and unrealized gains on investments	31,725	45,702
Bequests and contributions	62,369	28,852
Net assets released from restrictions for purchases of property, plant and equipment	(49,899)	(13,108)
Net assets released from restrictions for operations	(21,432)	(17,234)
Net assets released from restrictions for clinical programs & free care	(6,750)	(6,536)
Net assets restricted for Greenwich Hospital Endowment Fund, Inc. (GHEF)	(6,200)	(6,200)
Change in beneficial interest in perpetual trusts	4,664	7,846
Other	249	473
	<u>18,777</u>	<u>44,159</u>
Changes in net assets with donor restrictions	<u>18,777</u>	<u>44,159</u>
Increase in net assets	108,046	514,911
Net assets at beginning of year	<u>4,704,933</u>	<u>4,190,022</u>
Net assets at end of year	\$ <u><u>4,812,979</u></u>	<u><u>4,704,933</u></u>

See accompanying notes to consolidated financial statements.

YALE NEW HAVEN HEALTH SERVICES CORPORATION

(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidated Statements of Cash Flows

Years ended September 30, 2025 and 2024

(In thousands)

	<u>2025</u>	<u>2024</u>
Operating activities:		
Increase in net assets	\$ 108,046	514,911
Adjustments to reconcile increase in net assets to net cash provided by operating activities:		
Depreciation and amortization	265,336	219,636
Net realized and change in net unrealized gains on investments	(376,907)	(445,324)
Change in fair value of interest rate swap agreements	(19,049)	14,121
Amortization of long-term debt premium and deferred financing costs	(2,770)	(2,136)
Gain on early extinguishment of debt	—	(7,511)
Change in beneficial interest in perpetual trusts	(4,664)	(7,846)
Bequests and contributions	(43,158)	(10,236)
Pension and postretirement related changes other than net periodic benefit cost	51,969	(46,788)
Changes in operating assets and liabilities:		
Accounts receivable	29,594	(79,468)
Other assets	(42,811)	(55,629)
Accounts payable and accrued expenses	108,844	17,110
Professional insurance recoveries and liabilities	14,139	3,211
Other liabilities, accrued pension and postretirement benefit obligations	12,632	4,020
Net cash provided by operating activities	<u>101,201</u>	<u>118,071</u>
Investing activities:		
Acquisitions of property, plant, and equipment	(464,125)	(416,200)
Purchases of investments and assets whose use is limited	(2,179,183)	(2,475,656)
Sales of investments	2,455,782	2,580,833
Cash paid for purchase of Physician One Urgent Care & Affiliates	—	(87,646)
Amounts deposited with trustee in debt service fund	6,176	(1,252)
Net cash used in investing activities	<u>(181,350)</u>	<u>(399,921)</u>
Financing activities:		
Payments of long-term debt	(20,450)	(377,559)
Proceeds from issuance of long-term debt	—	676,068
Payments for debt issuance costs	—	(3,805)
Payments on finance lease obligations	(4,782)	(2,742)
Bequests and contributions	43,158	10,236
Net cash provided by financing activities	<u>17,926</u>	<u>302,198</u>
Net (decrease) increase in cash and cash equivalents	(62,223)	20,348
Cash and cash equivalents at beginning of year	<u>668,811</u>	<u>648,463</u>
Cash and cash equivalents at end of year	\$ <u>606,588</u>	<u>668,811</u>
Supplemental disclosure of cash flow information:		
Cash paid for interest	\$ 54,341	47,493
Non cash acquisitions of property, plant, and equipment	95,828	66,421

See accompanying notes to consolidated financial statements.

YALE NEW HAVEN HEALTH SERVICES CORPORATION
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Notes to Consolidated Financial Statements

September 30, 2025 and 2024

(1) Organization and Significant Accounting Policies

(a) Organization

Yale New Haven Health Services Corporation (YNHHSC), formed in 1983, was incorporated under the Not-for-Profit Corporation Law to coordinate the activities of the members of the Yale New Haven Health Services Corporation, d/b/a Yale New Haven Health System and Subsidiaries (collectively, the System), and is an integrated regional healthcare delivery system.

The System currently includes the following entities:

YNHHSC is the parent company of Yale New Haven Hospital, Inc. (YNHH), Bridgeport Hospital and subsidiaries (BH), Greenwich Hospital and subsidiaries (GH), Corporate Professional Business Services, Inc. (CPBS), Lawrence + Memorial Corporation and subsidiaries (LMC), Northeast Medical Group, Inc. (NEMG), and YNH Health at Home. On October 6, 2023, YNHHSC purchased the remaining outstanding interest in PhysicianOne Urgent Care, and Affiliates, now called Yale New Haven Health Urgent Care.

Yale New Haven Health Urgent Care (YNHHUC) manages and provides urgent care services in Connecticut, New York, and Massachusetts. YNHHSC must approve the strategic plans, operating budgets, capital budgets, and board appointments of YNHHUC.

YNHH is a voluntary association incorporated under the General Statutes of the State of Connecticut. The Board of Trustees of YNHH, appointed by YNHHSC, controls the operations of YNHH. YNHH is the parent of the following entities:

Yale New Haven Care Continuum Corporation (YNHCCC), a Connecticut nonstock corporation, is a wholly owned subsidiary of YNHH. YNHCCC provides long-term care for those unable to live independently and short-term rehabilitation for patients who have experienced elective surgery, an injury, or a traumatic major illness. Its services include respite care for family members and caregivers, stroke recovery, orthopedic recovery services, medications, and diagnostic services (such as radiological services). YNHCCC was the sole member of Home Care Plus, Inc. (HCP) through March 30, 2024. HCP is the sole member of Lifetime Care at Home, LLC

Yale New Haven Ambulatory Services Corporation and subsidiaries (YNHASC), a Connecticut nonstock, taxable corporation, is a wholly owned subsidiary of YNHH. YNHASC owns 100% of Shoreline Surgery Center, LLC (SSC).

Medical Center Pharmacy and Home Care, Inc. (MCP) is a Connecticut stock, for-profit company, and is a wholly owned subsidiary of YNHH.

Effective April 1, 2024, YNH Health at Home, Inc., a nonstock tax-exempt organization, became the sole member of HCP. HCP and Lifetime Care at Home, LLC provide healthcare services to local residents. Effective April 18, 2025, the name of HCP was changed to Yale New Haven Health at Home,

YALE NEW HAVEN HEALTH SERVICES CORPORATION
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Notes to Consolidated Financial Statements

September 30, 2025 and 2024

Inc and the name of YNH Health at Home was changed to Yale New Haven Health Comprehensive Care Network, Inc.

BH is a voluntary association incorporated under the General Statutes of the State of Connecticut. The Board of Trustees of BH, appointed by YNHHS, controls the operations of BH. BH is the parent of the following entities:

Bridgeport Hospital Foundation (Foundation) solicits contributions for the benefit of BH and all other tax-exempt healthcare organizations associated with BH.

Southern Connecticut Health System Properties, Inc. is a real estate holding company, which sold primarily all its assets to Bridgeport Hospital during 1998.

NEMG is a tax-exempt medical organization that provides physician-related services to BH, GH, YNHHS, and LMC and their surrounding communities. YNHHS must approve the strategic plans, operating budgets, capital budgets, and board appointments of NEMG.

GH is a voluntary association incorporated under the General Statutes of the State of Connecticut. The Board of Trustees of GH, appointed by YNHHS, controls the operations of GH.

GH is the parent corporation of a group of wholly owned subsidiaries, including The Perryridge Corporation. YNHHS is the sole member of GH. GH and its subsidiaries are Section 501(c)(3) not-for-profit organizations and are exempt from federal income taxes under Section 501(a) of the Internal Revenue Code (the Code).

The Greenwich Hospital Endowment Fund, Inc. (GHEF), is a Section 501(c)(3) not-for-profit organization that has a charitable purpose to solicit, receive, maintain, hold, manage, and administer funds, including, without limitations, endowment funds, for the benefit of GH. The board of GHEF is not required to be comprised of all members of GH's investment oversight committee and due to this governance structure, the financial statements of GHEF are not consolidated into the financial statements of GH.

Greenwich Hospital, a nonstock Connecticut corporation, provides healthcare services to the lower Fairfield County, Connecticut, and Westchester County, New York communities.

CPBS, a for-profit stock corporation, manages physician practices and provides third-party administration services on certain managed care contracts. The capital stock of CPBS consists of 20,000 shares of common stock, par value of one one-hundredth of a dollar per share. The Board of Directors of CPBS is appointed by YNHHS, the sole shareholder, which controls CPBS's operations.

YNHHS is the sole corporate member of LMC, a system of healthcare that provides a wide array of services throughout the region including Lawrence + Memorial Hospital (L+M), L+M Systems, Inc., L+M Healthcare, Visiting Nurse Association of Southeastern Connecticut Inc. (VNA), and LMW Healthcare Inc. (Westerly Hospital). LMC is the parent of the following entities:

L+M is a nonprofit organization incorporated under the General Statutes of the State of Connecticut.

YALE NEW HAVEN HEALTH SERVICES CORPORATION
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Notes to Consolidated Financial Statements

September 30, 2025 and 2024

Westerly Hospital is a nonprofit organization incorporated under the General Statutes of the State of Rhode Island.

VNA is a nonprofit organization under the general statutes of the State of Connecticut that provides home healthcare services. Effective October 1, 2024, YNH Health at Home, Inc. became the sole member of VNA.

(b) Restructuring Expenses

For the year ended September 30, 2025, the System recognized restructuring expenses of \$57.7 million, comprised of severance payments and costs related to the termination of certain vendor contracts.

(c) Principles of Consolidation

The accompanying consolidated financial statements present the accounts and transactions of the System and its subsidiaries. All significant intercompany revenue and expenses and intercompany balance sheet accounts have been eliminated in consolidation.

(d) Use of Estimates

The preparation of consolidated financial statements in conformity with U.S. generally accepted accounting principles (GAAP) requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, and disclosure of contingent assets and liabilities at the date of the consolidated financial statements. Estimates also affect the amounts of revenue and expenses reported during the reporting period. Actual results could differ from those estimates.

(e) Net Assets Without and With Donor Restrictions

The accompanying consolidated financial statements present information regarding the System's financial position and activities according to two classes of net assets: without and with donor restrictions. Resources arising from the results of operations or assets set aside by the Board of Trustees (the Board) are not considered to be donor restricted. Net assets with donor restriction are those whose use by the System has been limited by donors to a specific time period or purpose. These restricted assets represent funds, including contributions and accumulated investment returns, whose use has been restricted by donors to a specific period or purpose or that have been restricted by donors to be maintained in perpetuity to provide a permanent source of income.

The System is a partial beneficiary to various perpetual trust agreements. Assets recorded under these agreements are recognized at fair value. The assets and investment income generated from the trusts are classified as net assets with donor restrictions.

Certain investments are pooled together and consist of net assets without and with donor restrictions to facilitate their management. Investment income (loss) is allocated to both categories of net assets participating in the investment pool on a pro rata basis based on their respective market values. The Board approves spending for certain pooled funds based on the spending policy. Realized gains and losses from the sale of securities are computed using the average-cost and first-in, first-out methods.

YALE NEW HAVEN HEALTH SERVICES CORPORATION
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Notes to Consolidated Financial Statements

September 30, 2025 and 2024

Contributions, including unconditional promises to give, are recognized as revenue in the period received. Conditional promises to give are not recognized until the conditions on which they depend are met. Contributions receivable to be received after one year are discounted at a rate commensurate with the risks involved. Amortization of the discount is recognized as revenue and is classified as either net assets without or with donor restrictions in accordance with donor-imposed restrictions, if any, on the contributions. Contributions are reduced by an allowance for uncollectible contributions. The amount of the allowances for uncollectible contributions is based upon management's assessment of historical and expected net collections. Contributions and pledges receivable are included in other current assets and other assets in the accompanying consolidated balance sheets.

Net assets without and with donor restrictions are available for the following purposes (in thousands):

	<u>2025</u>	<u>2024</u>
Without donor restrictions:		
Undesignated	\$ 4,279,109	4,189,840
With donor restrictions:		
Perpetual	144,517	136,461
Purpose restricted:		
Specific hospital operations, teaching, research, indigent and free care, and training	342,796	325,857
Plant improvement and expansion	<u>46,557</u>	<u>52,775</u>
Net assets	<u>\$ 4,812,979</u>	<u>4,704,933</u>

Net assets with perpetual donor restrictions consist of donor-restricted endowment principal and beneficial interests in perpetual trusts. The income generated from these funds is expendable for purposes designated by donors, including research, free care, healthcare, and other services.

(f) Donor-Restricted Gifts

Unconditional promises to give cash and other assets are reported at fair value at the date the promise is received. All gifts are reported as either net assets without or with donor restrictions if they are received with donor stipulations that limit the use of the donated assets. When a donor restriction expires, that is, when a stipulated time restriction ends or purpose restriction is accomplished, these net assets are reclassified as net assets without donor restrictions.

(g) Cash and Cash Equivalents

Cash and cash equivalents include investments in highly liquid financial instruments with original maturities of three months or less when purchased, which are not classified as assets limited as to use, and which are not maintained in the short-term or long-term investment portfolios. Cash and cash equivalents held temporarily by investment managers are treated as investing activities for cash flow purposes.

YALE NEW HAVEN HEALTH SERVICES CORPORATION
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Notes to Consolidated Financial Statements

September 30, 2025 and 2024

Cash and cash equivalents are maintained with domestic financial institutions with deposits, which exceed federally insured limits. It is the System's policy to monitor the financial strength of these institutions.

(h) Patient Receivables

Patient receivables result from the healthcare services provided by the System. Patient accounts receivable have been adjusted to the estimated amounts expected to be collected. These estimated amounts are subject to further adjustments upon review by third party payers. Such receivables do not bear interest.

The amount of implicit and explicit price concessions is based upon management's assessment of historical and expected net collections, business and economic conditions, trends in Medicare and Medicaid healthcare coverage, and other collection indicators. After satisfaction of amounts due from insurance, the System follows established guidelines for placing certain patient balances with collection agencies, subject to certain restrictions on collection efforts as determined by the System policy. See note 2 for additional information related to third party payor programs.

(i) Investments

The System has designated its debt securities as trading. Investment income or loss (including realized gains and losses on investments, interest, and dividends) and the change in net unrealized gains and losses are included in the excess (deficiency) of revenue over expenses unless the income or loss is restricted by donor or law.

Investments in equity securities with readily determinable fair values and investments in debt securities are measured at fair value (quoted market prices) in the accompanying consolidated balance sheets.

Certain alternative investments (nontraditional, not-readily marketable assets) are structured such that the System holds limited partnership interests or pooled units and are accounted for utilizing net asset value (NAV) per unit for measurement of the units' fair value. Individual investment holdings within the alternative investments may, in turn, include investments in both nonmarketable and marketable securities. Fund of funds investments are primarily based on financial data supplied by the underlying investee funds. Values may be based on historical cost, appraisals, or other estimates that require varying degrees of judgment. The investments may indirectly expose the System to securities lending, short sales of securities, and trading in futures and forwards contracts, options, swap contracts, and other derivative products. While these financial instruments may contain varying degrees of risk, the System's risk with respect to such transactions is limited to its capital balance in each investment. The financial statements of the investees are audited annually by independent auditors. The System maintains the Yale New Haven Health System Investment Trust (the Trust), a unitized Delaware Investment Trust created to pool assets for investment by the System's nonprofit entities. The Trust comprises two pools: the Long-Term Investment Pool (L-TIP) and the Intermediate-Term Investment Pool (I-TIP). Governance of the Trust is performed by the Yale New Haven Health System Investment Committee.

YALE NEW HAVEN HEALTH SERVICES CORPORATION
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Notes to Consolidated Financial Statements

September 30, 2025 and 2024

Under the terms of the investment management agreement with the Trust, withdrawals of investments in the L-TIP can be made annually by each hospital on July 1. Amounts withdrawn are subject to a schedule that allows larger withdrawals with longer notice periods. As of September 30, 2025, each hospital can withdraw 100% of its investment in the L-TIP on July 1, 2026. Withdrawals of investments in the I-TIP in any amount can be made quarterly with 30 days' advance notice.

The Trust has entered into an agreement (the Investment Management Agreement) with Yale University (the University). The University's investment office allows the University to manage a portion of the Trust's investments as part of the University's Endowment Pool (the Pool). The Trust did not make any transfers for the years ended September 30, 2025 and 2024 to the University in exchange for units in the Pool. The Trust's interest in the Pool is reported at fair value based on the NAV per units held. The Pool invests in domestic equity, foreign equity, absolute return, private equity, real assets, fixed income, and cash.

Under the terms of the Investment Management Agreement with the University, withdrawals of the Trust's investment in the Pool can be made based upon days' notice provided to the University before their June 30 year end and the total market value of the Pool. For withdrawals of up to 2% of the Pool, 1.4% of the Pool, and 1% of the Pool, the advance notice period is set to a maximum of 360 days, 270 days, 180 days, respectively, prior to the University's fiscal year ending June 30. Withdrawals of the Trust's investment in the Pool can also be made up to 0.6% of the Pool on the last day of any calendar month provided 20 days advance notice is provided.

Short-term investments represent those securities that are available for the System's operations and can be converted to cash within one year.

(j) Inventories

Inventories (included in other current assets) are stated at the lower of cost or net realizable value. The System values its inventories using the first-in, first-out method, except for YNHH's pharmacy inventories, which are valued at average cost.

(k) Assets Limited as to Use

Assets limited as to use represent assets held by trustees under indenture agreements, beneficial interest in perpetual trusts, and designated assets set aside by the Board for future capital improvements, and other Board-approved uses. The Board retains control of board-designated funds and, at its discretion, may use them for other purposes for capital improvements and expansion. Amounts in debt service funds which are required to meet current liabilities are reported as current assets. These funds consist primarily of U.S. government securities, mutual funds, and money market funds.

(l) Interest in Net Assets of Greenwich Hospital Endowment Fund, Inc. (GHEF)

The purpose of GHEF is to solicit, receive, maintain, hold, manage, and administer funds, including, without limitation, endowment funds of GH, and to use, apply, and distribute the whole or any part of the income therefrom and principal thereof exclusively to, or for the benefit of, GH and/or any entities of which GH is, directly or indirectly, the sole member and which are exempt from federal income tax under Section 501(c)(3) of the Code, so long as GH and/or any or all of such entities provide or arrange

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for the delivery of health care to the Greenwich, Connecticut community and its service area, and to engage in such other activities to promote the purposes of GHEF, all as more fully set forth in the Certificate of Incorporation of GHEF.

The interest in the net assets of GHEF represents the System's beneficial interest in the net assets held by GHEF for the benefit of GH. This asset is accounted for in accordance with the Financial Accounting Standards Board (FASB) Accounting Standards Codification (ASC) 958-20, *Transfers of Assets to a Not-for-Profit Organization or Charitable Trust that Capitalize Raises or Holds Contributions for Others*.

(m) Perpetual Trusts

The System is the beneficiary of certain perpetual trusts held and administered by others. The estimated future cash receipts, which are measured based on the fair value of the assets held by the trust, are recognized as assets and contribution revenue at the dates the trusts are established. Beneficial interest in perpetual trusts is recorded as net assets with donor restrictions and is adjusted for any changes in the fair value of the trusts. Income distributions received from the trusts are recorded as without donor restricted contributions when received.

(n) Interest Rate Swap Agreements

The System utilizes interest rate swap agreements to reduce risks associated with changes in interest rates. Interest rate swap agreements are reported at fair value with changes in fair value during the year recorded as nonoperating gains (losses), net. The System is exposed to credit risk in the event of nonperformance by the counterparties to its interest rate swap agreements. The System is also exposed to the risk that the swap receipts may not offset its variable rate debt service. To the extent these variable rate swap receipts do not equal variable interest payments on the bonds, there will be a net loss or net benefit to the System. The interest rate swaps are classified in the accompanying consolidated balance sheets as other long-term liabilities at September 30, 2025 and 2024.

(o) Benefits and Insurance

The System is self-insured for medical, dental, hospitalization, and prescription drug benefits provided to employees and has a stop-loss arrangement to limit exposure for these self-insured benefits. These are included in salaries and benefits expense.

(p) Workers' Compensation and Professional Liability Insurance

The System is self-insured for workers' compensation claims. The System has a stop-loss arrangement to limit exposure for workers' compensation claims. Estimated amounts are accrued for claims, including claims incurred but not reported (IBNR). At September 30, 2025 and 2024, the estimated discounted liabilities for self-insured workers' compensation claims and IBNR aggregated approximately \$47.9 million and \$44.7 million, respectively, discounted at approximately 2.6%, and are included in other long-term liabilities in the accompanying consolidated balance sheets.

The System records the actuarially determined liabilities for IBNR professional insurance liabilities (note 11).

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(q) Property, Plant, and Equipment

Property, plant, and equipment purchased are carried at cost, and those acquired by gifts and bequests are carried at fair value established at the date of contribution. The carrying amounts of assets and the related accumulated depreciation are removed from the accounts when such assets are disposed of, and any resulting gain or loss is included in income from operations. Depreciation of property, plant, and equipment is computed by the straight-line method in amounts sufficient to depreciate the cost of the assets over their estimated useful lives, ranging from 3 to 50 years. The cost of additions and improvements are capitalized, and expenditures for repairs and maintenance, including the cost of replacing minor items not considered substantial enhancements, are expensed as incurred.

(r) Leases

The System determines if an arrangement is a lease at inception. Operating leases are included in right-of-use (ROU) assets and operating lease liabilities in the consolidated balance sheet. ROU assets and liabilities are recognized based on the present value of the future minimum lease payments over the lease term using the System's incremental borrowing rate.

Finance lease assets are included in property, plant, and equipment, and obligations are included in current portion of finance lease obligation and long-term finance lease obligation, net of current portion in the consolidated balance sheets. Finance lease assets and liabilities are recognized based on the present value of the future minimum lease payments over the lease term using the explicit interest rate when available. If an explicit interest rate is not available, the System applies its incremental borrowing rate. Finance lease assets are amortized on a straight-line basis over the full lease term and presented in depreciation and amortization in the consolidated statement of operations and changes in net assets. Interest on lease payments is calculated using the effective interest method and presented in interest expense in the consolidated statement of operations.

(s) Goodwill

The System adopted the private company alternative for accounting for goodwill, as permitted by FASB ASC 350-20 – *Intangibles – Goodwill and Other – Goodwill*, effective October 1, 2024. This alternative allows the System to amortize goodwill over a period of 10 years or less in certain circumstances, instead of conducting annual impairment tests and to subsume certain customer-related intangible assets in goodwill. The System will conduct impairment tests only when a triggering event occurs and has identified a single reporting entity. Amortization of goodwill was \$26.7 million and \$0 for the years ended September 30, 2025 and 2024, respectively, and is included in depreciation and amortization expense in the consolidated statement of operations and changes in net assets. No impairment was recorded for the years ended September 30, 2025 and 2024.

(t) Excess of Revenue over Expenses

In the accompanying consolidated statements of operations and changes in net assets, excess of revenue over expenses is the performance indicator. Gains and losses deemed by management to be closely related to ongoing operations are included in other revenue. Certain pre-acquisition transaction costs, other gains and losses from peripheral or incidental transactions, as well as pension costs other than service cost, and interest expense attributable to long-term debt related to general corporate purposes are classified as nonoperating gains (losses), net.

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Contributions of, or restricted to, property, plant, and equipment, pension and other postretirement-related changes other than net periodic benefit cost, and other are excluded from the performance indicator, but are included in change in net assets without donor restrictions.

(u) Income Taxes

Most entities within the System are not-for-profit corporations as described in Section 501(c)(3) of the Code, and are generally exempt from federal income taxes pursuant to Section 501(a) of the Code. Provisions for income taxes and deferred taxes, where applicable, have been made for the taxable entities listed above under the description of the System.

The System evaluates tax positions taken or expected to be taken in the course of preparing the System's tax returns to determine whether the tax positions are "more-likely than-not" of being sustained by the applicable tax authority based upon the technical merits of the position. The System recognizes the effect of tax positions only if they are more likely than not of being sustained. This evaluation had no impact on the operations of the System as of and for the years ended September 30, 2025 and 2024.

(v) Impairment of Long-Lived Assets

The System reviews property, plant, and equipment for impairment whenever events or changes in circumstances indicate that the carrying amount of the assets may not be recoverable. If such impairment indicators are present, the System recognizes a loss on the basis of whether these amounts are fully recoverable.

(2) Patient Service Revenue and Patient Receivables

The System's patient service revenue is reported at the amount that reflects the consideration to which the System expects to be entitled in exchange for providing patient care. These amounts are due from patients, third party payers (including health insurers and government programs), and others and includes variable consideration for retroactive revenue adjustments due to settlement of audits, reviews, and investigations. Generally, the System bills patients and third-party payers several days after the services are performed or the patient is discharged from the facility. Revenue is recognized as performance obligations are satisfied (that is, patient care is provided).

Performance obligations are determined based on the nature of the services provided by the System. Revenue for performance obligations satisfied over time is recognized based on actual charges incurred in relation to total expected (or actual) charges. The System believes that this method provides a reasonable representation of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation. Generally, performance obligations satisfied over time relate to patients in the hospital receiving inpatient acute care services or patients receiving services in outpatient centers. The System measures the performance obligation from admission into the hospital, or the commencement of an outpatient service, to the point when it is no longer required to provide services to that patient, which is generally at the time of discharge or completion of the outpatient services.

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Because all of its performance obligations relate to contracts with a duration of less than one year, the System has elected to apply the optional exemption provided in FASB ASC 606-10-50-14a and, therefore, is not required to disclose the aggregate amount of the transaction price allocated to performance obligations that are unsatisfied or partially unsatisfied at year end which primarily relates to acute care patients (in-house). The performance obligations for these contracts are generally completed when the patients are discharged, which generally occurs within days or weeks of year end.

The System has arrangements with third-party payers that provide for payments to the System at the amounts different from its established rates. The difference is accounted for as explicit price concessions. Payment arrangements include prospectively determined rates per discharge, reimbursed costs, fee-for-service, discounted charges, and per diem payments.

The System determines the transaction price based on standard charges for goods and services provided, reduced by explicit price concessions provided to third party payers, discounts provided to uninsured patients in accordance with the System's policy, and implicit price concessions on uninsured patients. The System determines its estimates of explicit price concessions and discounts based on contractual agreements, its discount policies, and historical experience.

Generally, patients who are covered by third party payers are responsible for related deductibles and coinsurance, which vary in amount. The System also provides services to uninsured patients, and offers those uninsured patients a discount, either by policy or law, from standard charges. The System estimates the transaction price for patients with deductibles and coinsurance and from those who are uninsured based on historical experience and current market conditions and applies the portfolio approach. The initial estimate of the transaction price is determined by reducing the standard charge by any explicit price concessions, discounts, and implicit price concessions. Subsequent changes to the estimate of the transaction price are generally recorded as adjustments to patient service revenue in the period of the change. Subsequent changes that are determined to be the result of an adverse change in the patient's ability to pay are recorded as bad debt expense. There was no bad debt expense for the years ended September 30, 2025 or 2024.

Consistent with the System's mission, care is provided to patients regardless of their ability to pay. Therefore, the System has determined it has provided implicit price concessions to uninsured patients and patients with other uninsured balances (for example, copays and deductibles). The implicit price concessions included in estimating the transaction price represent the difference between amounts billed to patients and the amounts the System expects to collect based on its collection history with this class of patients.

The System has elected the financing component practical expedient and does not adjust the promised amount of consideration from patients and third-party payers for the effects of a significant financing component due to the System's expectation that the period between the time the service is provided to a patient and the time that the patient or a third-party payer pays for that service will be one year or less. However, the System does, in certain instances, enter into payment agreements with patients that allow payments in excess of one year. For those cases, the financing component is not deemed to be significant to the contract. The System has determined that the nature, amount, timing and uncertainty of patient service revenue and cash flows are affected by payers and service lines.

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The composition of patient service revenue based on service line and primary payer for the years ended September 30 are as follows (in thousands):

	2025			2024		
	Inpatient	Outpatient	Total	Inpatient	Outpatient	Total
Nongovernmental	\$ 1,225,984	1,931,827	3,157,811	1,211,253	1,906,935	3,118,188
Medicare	1,239,420	1,142,442	2,381,862	1,185,670	1,161,115	2,346,785
Medicaid	470,505	412,893	883,398	460,288	426,143	886,431
Total all payers	\$ 2,935,909	3,487,162	6,423,071	2,857,211	3,494,193	6,351,404

The significant concentrations of accounts receivable for services to patients include 37% and 39% from Medicare, 14% and 14% from Medicaid, and 49% and 47% from nongovernmental payers at September 30, 2025 and September 30, 2024, respectively.

Third-party payer receivables included in other current assets were \$1.6 million and \$5.2 million at September 30, 2025 and 2024, respectively. Third-party payer liabilities included in other current liabilities were \$94.7 million and \$92.2 million at September 30, 2025 and 2024, respectively. Third-party payer liabilities included in other long-term liabilities were \$87.1 million and \$79.1 million at September 30, 2025 and 2024, respectively.

Laws and regulations governing the Medicare and Medicaid programs are extremely complex and are subject to interpretation. As a result, there is at least a reasonable possibility that recorded estimates will change by material amounts in the near term. The System has established estimates, based on information presently available, of amounts due to or from Medicare, Medicaid, and third-party payers for adjustments to current and prior year payment rates, based on System specific data. Such amounts are included in the accompanying consolidated balance sheets. Additionally, certain payers' payment rates for various years have been appealed by the System.

Settlements with third-party payers for retroactive adjustments due to audits, reviews or investigations are considered variable consideration and are included in the determination of the estimated transaction price for providing patient care. These settlements are estimated based on the terms of the payment agreement with the payer, correspondence from the payer and the System's historical settlement activity, including an assessment to ensure that it is probable that a significant reversal in the amount of the cumulative revenue recognized will not occur when the uncertainty associated with the retroactive adjustment is subsequently resolved. Estimated settlements are adjusted in future periods as adjustments become known (that is new information becomes available), or as years are settled or are no longer subject to audits, reviews, and investigations.

During the years ended September 30, 2025 and 2024, the System recorded a favorable change in estimate of approximately \$18.1 million and \$62.9 million, respectively, which increased patient service revenue. Included in the change in estimate are amounts related to third party payer settlements.

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The System believes that it is in compliance with all applicable laws and regulations and is not aware of any pending or threatened investigations involving allegations of potential wrongdoing, except as disclosed in note 12. Compliance with such laws and regulations can be subject to future government review and interpretation, as well as significant regulatory action, including fines, penalties, and exclusion from the Medicare and Medicaid programs. Changes in the Medicare and Medicaid programs and the reduction of funding levels could have an adverse impact on the System. Cost reports for the System's hospitals, which serve as the basis for final settlement with Medicare have been final settled through FY 2019 for YNHH, and through FY 2020 for BH and LMH, FY 2021 for GH and FY 22 for WH. Other years remain open for settlement with Medicare. The Medicaid cost reporting settlement process terminated in 2015 with all cost reports final settled.

(3) Uncompensated Care and Community Benefit Expense

The System's commitment to community service is evidenced by services provided to the poor and benefits provided to the broader community. Services provided to the poor include services provided to persons who cannot afford healthcare because of inadequate resources, and/or who are uninsured or underinsured.

The System provides free care programs for qualifying patients. In accordance with the established policies of the System, during the registration, billing, and collection process, a patient's eligibility for free care funds is determined. For patients who were determined by the System to have the ability to pay but did not, the uncollected amounts are considered implicit price concessions. For patients who do not avail themselves of any free care program, and whose ability to pay cannot be determined by the System, care given but not paid for is classified as charity care.

Together, charity care and free care represent uncompensated care. The estimated cost of total uncompensated care is approximately \$98.1 million and \$94.6 million for the years ended September 30, 2025 and 2024, respectively. The estimated cost of uncompensated care is based on the ratio of cost to charges, as determined by hospital-specific data.

The allocation between implicit price concession and charity care is determined based on management's analysis on the previous twelve months of hospital data. This analysis calculates the actual percentage of accounts written off or designated as implicit price concessions versus charity care while taking into account the total costs incurred by the System for each account analyzed.

The Connecticut Disproportionate Share Hospital Program (CDSHP) was established to provide funds to hospitals for the provision of uncompensated care and is funded, in part, by an assessment on hospital patient service revenue. The System made payments into the CDSHP of \$316.8 million and \$317.8 million for the years ended September 30, 2025 and 2024, respectively, for the assessment.

During the years ended September 30, 2025 and 2024, the System received \$197.4 million in CDSHP distributions. These are recorded in patient service revenue.

Additionally, the System provides benefits for the broader community, which includes services provided to other under-served populations that may not qualify under the System's policy but need special services and support. Benefits include the cost of health promotion and education of the general community, interns and residents, health screenings, and medical research. The benefits are provided through the community health centers, some of which service non-English-speaking residents, disabled children, and various

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community support groups. The System voluntarily assists with the direct funding of several City of New Haven programs, including an economic development program and a youth initiative program.

In addition to the quantifiable services defined above, the System provides benefits to the community through its advocacy of community service by employees. The System's employees serve numerous organizations through board representation, membership in associations and other related activities. The System also solicits the assistance of other healthcare professionals to provide their services at no charge through participation in various community seminars and training programs.

(4) Investments and Assets Limited as to Use

The composition of investments, including investments held by the Trust, amounts on deposit with trustee in debt service fund, and assets limited as to use is set forth in the following table (in thousands):

	<u>2025</u>	<u>2024</u>
Money market funds	\$ 39,783	64,106
U.S. equity securities	774,659	635,052
International equity funds ^(a)	607,431	641,745
Fixed income funds:		
U.S. government	473,646	598,281
Corporate bonds	1,710	1,926
Commodities ^(b)	49,921	34,025
Hedge funds:		
Absolute return ^(c)	376,176	310,977
Long/short equity ^(d)	126,160	135,375
Long-only equity ^(d)	226,209	96,171
Private equity	134,504	94,225
Real estate ^(e)	115,138	84,745
Interest in Yale University endowment pool ^(f)	648,602	809,885
Interest in MCIC ^(g)	121,118	102,719
Perpetual trusts and Beneficial Interest in Trusts ^(h)	64,966	57,753
Total	<u>\$ 3,760,023</u>	<u>3,666,985</u>

a. Investments with external international equity and bond managers that are domiciled in the United States. Investment managers may invest in American or Global Depositary Receipts (ADR, GDR) or in direct foreign securities.

b. Investments with external commodities futures manager.

c. Investment with external multistrategy fund of funds manager investing in publicly traded equity and credit holdings, which may be long or short positions.

d. Investment with an external long-short equity fund of funds manager with underlying portfolio investments consisting of publicly traded equity positions.

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- e. Investments with external direct real estate managers and fund of funds managers. Investment vehicles include both closed end Real Estate Investment Trusts (REITs) and limited partnerships.
- f. Yale University Endowment Pool maintains a diversified investment portfolio, through the use of external investment managers operating in a variety of investment vehicles, including separate accounts, limited partnerships, and commingled funds. The pool combines an orientation to equity investments with an allocation to nontraditional asset classes such as an absolute return, private equity, and real assets.
- g. YNHH controls less than 20% of the Class A stock of MCIC (note 11); however, for accounting purposes, the investment in the insurance companies is recorded on the equity method because of contractual agreements.
- h. Investments consist of several domestic and international equity and fixed-income mutual funds, REITs, commodities, and money market funds. There is also an investment in a hedge fund of funds.

(5) Liquidity

Financial assets available for general expenditure within one year of the consolidated balance sheet consist of the following (in thousands):

	<u>2025</u>	<u>2024</u>
Financial assets:		
Cash and cash equivalents	\$ 606,588	668,811
Patient receivables	738,899	768,493
Assets limited as to use	2,400	8,576
Investments, net of assets with donor restrictions	<u>2,556,300</u>	<u>2,443,891</u>
Total financial assets available to meet cash needs for general expenditures within one year	\$ <u>3,904,187</u>	<u>3,889,771</u>

The System has assets limited to use which are available for debt service expenditure within one year which have been included in the amounts above. The System has other assets limited to use for donor-restricted purposes which are not available for general expenditure within the next year and are not included in the amounts above.

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(6) Property, Plant, and Equipment

Property, plant, and equipment are as follows (in thousands):

	<u>2025</u>	<u>2024</u>
Land and land improvements	\$ 165,351	160,408
Buildings and building improvements	3,152,327	3,012,331
Equipment	1,790,249	1,675,394
Assets recorded under finance leases	<u>97,494</u>	<u>101,099</u>
	5,205,421	4,949,232
Less accumulated depreciation and amortization, including amortization of finance leases of \$37,007 and \$35,211, respectively	<u>3,165,049</u>	<u>2,968,641</u>
Property, plant, and equipment, net	2,040,372	1,980,591
Construction in progress	<u>659,799</u>	<u>464,061</u>
	<u>\$ 2,700,171</u>	<u>2,444,652</u>

Total contractual commitments at September 30, 2025 for the neuroscience tower are approximately \$172.1 million and all other projects are approximately \$183.4 million.

(7) Endowment

The System's endowment includes donor-restricted endowment funds. Net assets associated with endowment funds are classified and reported based on the existence or absence of donor-imposed restrictions.

The System has interpreted the Connecticut Uniform Prudent Management of Institutional Funds Act (CUPMIFA) as requiring the preservation of the fair value of the original gift as of the gift date of the donor-restricted endowment funds absent explicit donor stipulations to the contrary. As a result of this interpretation, the System classifies as net assets with donor restrictions: (a) the original value of gifts donated to the permanent endowment, (b) the original value of subsequent gifts to the permanent endowment, and (c) accumulations to the permanent endowment related to the System's beneficial interest in perpetual trusts made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. The remaining portion of the donor-restricted endowment fund that is classified in net assets with donor restrictions until those amounts are appropriated for expenditure by the System in a manner consistent with the standard of prudence prescribed by CUPMIFA. In accordance with CUPMIFA, the System considers the following factors in making a determination to appropriate or accumulate donor-restricted endowment funds: (1) the duration and preservation of the fund; (2) the purposes of the System and the donor-restricted endowment fund; (3) general economic conditions; (4) the possible effect of inflation and deflation; (5) the expected total return from income and the appreciation of investments; (6) other resources of the System; and (7) the investment and spending policies of the System.

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Changes in endowment net assets for the year ended September 30, 2025 are as follows (in thousands):

	Without donor restrictions	With donor restrictions		Total
		Original gift	Accumulated gains	
Endowment net assets at beginning of year	\$ 31,046	98,658	148,630	278,334
Investment returns, net	3,694	—	23,206	26,900
Appropriation of endowment assets for expenditure	—	—	(9,833)	(9,833)
Transfers between donor classification	—	4,616	(4,910)	(294)
Other changes:				
Contributions	—	523	97	620
Change in value of beneficial interest trusts	—	2,916	—	2,916
Endowment net assets at end of year	\$ <u>34,740</u>	<u>106,713</u>	<u>157,190</u>	<u>298,643</u>

Changes in endowment net assets for the year ended September 30, 2024 are as follows (in thousands):

	Without donor restrictions	With donor restrictions		Total
		Original gift	Accumulated gains	
Endowment net assets at beginning of year	\$ 27,540	92,800	132,909	253,249
Investment returns, net	3,506	—	25,129	28,635
Appropriation of endowment assets for expenditure	—	—	(9,306)	(9,306)
Transfers between donor classification	—	(50)	(200)	(250)
Other changes:				
Contributions	—	654	98	752
Change in value of beneficial interest trusts	—	5,254	—	5,254
Endowment net assets at end of year	\$ <u>31,046</u>	<u>98,658</u>	<u>148,630</u>	<u>278,334</u>

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(a) Underwater Endowments

Fair market value of assets associated with donor-restricted endowment funds may fall below the level that the donor originally contributed or intended to be of perpetual duration. At September 30, 2025 and 2024, there were no underwater endowments.

(b) Return Objectives and Risk Parameters

The System has adopted investment and spending policies for endowed assets that attempt to provide a predictable stream of funding to programs supported by its endowment. Endowment assets include those assets of donor-restricted funds that the organization must hold in perpetuity. Under these policies, as approved by the Board of Trustees, the endowment assets are invested in a manner that is intended to produce results that over time provide a rate of return that meets the spending policy objectives adjusted for inflation. Actual returns in any given year may vary from this amount.

(c) Strategies Employed for Achieving Objectives

To satisfy its long-term rate-of-return objectives, the System relies on a total return strategy in which investment returns are achieved through both capital appreciation (realized and unrealized) and current yield (interest and dividends). The System targets a diversified asset allocation that places greater emphasis on equity-based investments to achieve its long-term rate-of-return objectives within prudent risk constraints.

(d) Spending Policy and How the Investment Objectives Relate to Spending Policy

The Spending Policy will be based on a weighted average of (1) the prior year spending adjusted for inflation (this factor to be weighted at 80%) and (2) the amount that would have been spent in the prior year if the hospital had spent 5.25% of the current market value of the endowment fund (this factor to be weighted at 20%); provided, however, that spending shall not be in an amount that would cause the fund to drop below its historic dollar value.

In establishing the above policies, the System considered the long-term expected return on its endowment.

(8) Debt

The Obligated Group comprises YNHHS, YNH, YNHCC, BH, the Foundation, NEMG, GH, LMC, L+M and Westerly Hospital. The members of the Obligated Group have adopted certain governance provisions in their certificates of incorporation and bylaws pursuant to which YNHHS retains the authority to directly take certain actions on behalf of each Obligated Group member without the approval of the Board of Trustees of the applicable Obligated Group member, including the incurrence of indebtedness on behalf of each Obligated Group member, the management and control of the liquid assets of each, and the

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appointment of the president and chief executive officer of each Obligated Group member. A summary of the Obligated Group's long-term debt is listed below (in thousands).

	<u>2025</u>	<u>2024</u>
Revenue bonds financed with the State of Connecticut Health and Educational Facilities Authority (CHEFA):		
Tax-exempt:		
Series C (GH) \$26,770 serial bonds payable in installments through July 1, 2026, with a variable weekly interest rate of 2.87% and 3.00% at September 30, 2025 and 2024, respectively.	\$ 3,745	7,370
Series E (YNHH) \$80,900 serial bonds, payable in installments through July 31, 2037, with a fixed interest rate that ranges from 3.50% to 4.00% for the remaining tranches at September 30, 2025 and thereafter. The series was partially redeemed on September 27, 2024.	12,425	12,425
Series N (YNHH) \$24,120 serial bonds, payable in installments through July 1, 2048 with a fixed interest rate that ranges from 3.25% to 3.50% at September 30, 2025 and thereafter. The series was partially redeemed on September 27, 2024.	11,235	11,235
Series O (YNHH) \$50,000 serial bonds, payable in installments from July 1, 2049 to July 1, 2053 with a variable weekly interest rate of 3.15% and 3.20% at September 30, 2025 and 2024, respectively.	50,000	50,000
Series C (YNHH) \$83,600 serial bonds, the variable weekly interest rate at September 30, 2024 was 3.20%.	—	8,940
Series D (YNHH) \$108,275 serial bonds, due July 1, 2049, payable in interest installments from July 1, 2032 to July 1, 2048, with a variable weekly rate of 2.87% and 3.00% at September 30, 2025 and 2024, respectively.	108,275	108,275
Series 2024A (YNHH) \$156,730 serial bonds, due July 1, 2048, payable in installments from July 1, 2025 to July 1, 2034 and July 1, 2044 to July 1, 2048, with a fixed interest rate of 5%.	151,995	156,730
Series 2024B (YNHH) \$158,175 serial bonds, due July 1, 2049, payable in installments from July 1, 2037 to July 1, 2049 with an interest rate with an interest rate of 5.00% at September 30, 2024.	158,175	158,175
Series 2024C (YNHH) \$337,000 serial bonds, payable in installments from July 1, 2051 through July 1, 2060, with variable weekly interest rates of 3.20% and 3.00% at September 30, 2024.	337,000	337,000

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	<u>2025</u>	<u>2024</u>
Loans, notes and bonds payable:		
Series 2013 (YNHH) \$132,000 serial taxable bonds, payable in installments from July 1, 2037 to July 1, 2043, with a fixed interest rate of 4.37%.	132,000	132,000
Series 2014 (YNHH) \$50,725 serial taxable bonds, payable in installments from July 1, 2038 to July 1, 2044, with a fixed interest rate of 4.375%	50,725	50,725
Series 2020 (YNHHSC) \$400,000 taxable term bonds, maturing on July 1, 2050 with a fixed interest rate of 2.50%.	400,000	400,000
Series 2020 (YNHHSC) \$165,000 senior taxable notes, maturing on June 11, 2060 with a fixed interest rate of 3.07%.	165,000	165,000
Series 2020 (YNHHSC) \$225,000 senior taxable notes, maturing on December 29, 2060 with a fixed interest rate of 3.26%.	225,000	225,000
Term loan (LMC) maturing June 28, 2028, payable in annual installments with a fixed interest rate of 3.68%.	<u>39,655</u>	<u>42,804</u>
Total Master Trust Indebtedness	1,845,230	1,865,679
Issuance premium	20,529	23,845
Current portion	(180,478)	(182,103)
Deferred costs of issuance, net of accumulated amortization	<u>(9,863)</u>	<u>(10,409)</u>
Long-term portion	<u>\$ 1,675,418</u>	<u>1,697,012</u>

In July 2024, the Obligated Group issued through CHEFA the Yale New Haven Health Issue Revenue Bonds, Series 2024A in the amount of \$156.7 million, Series 2024B in the amount of \$158.2 million, and Series 2024C in the amount of \$337.0 million, (collectively Series 2024ABC) as obligations under the MTI. The proceeds of the Series 2024ABC were used to provide funds to finance (i) the refunding or defeasance of (a) Series A, (b) Series B, and (c) certain tranches of Series E and Series N (ii) reimbursement for various capital investments; and (iii) the payment of the costs of issuance. As a result of the issuance of Series 2024ABC, YNHHSC, as a joint and several member of the Obligated Group, recorded total debt in the amount of approximately \$672.3 million, which is inclusive of issuance premium and deferred costs of issuance. The gain on refinancing was approximately \$7.5 million.

Required monthly payments on the revenue bonds by the System to a trustee are in amounts sufficient to provide for the payments of principal, interest, and sinking fund installments, as well as required payments to certain reserve funds held by the trustee, in accordance with the terms of the agreements, and certain other annual costs of CHEFA.

Arbitrage rules apply to tax-exempt debt issued after August 31, 1986. The rules require that, in specified circumstances, earnings from the investment of tax-exempt bond proceeds, which exceed the yield on the bonds, be remitted to the federal government. There were no arbitrage liabilities at September 30, 2025 or 2024.

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At September 30, 2024 and 2025, YNHHS had available revolving lines of credit (“Revolver”) totaling \$150 million and \$300 million respectively. The current terms of the Revolving Credit Agreement (“RCA”) were amended and restated by the Second Amended and RCA dated July 21, 2025, and has an expiration date of July 20, 2026.

YNHHS had no outstanding balance on the line of credit on September 30, 2025 or 2024.

The line of credit allows repayment at any time during the term and requires that any remaining unpaid balance be repaid at the expiration date. Outstanding loans bear interest at Secured Overnight Financing Rate (SOFR) plus .70% and 0.80%, at September 30, 2025 and 2024, respectively. Undrawn commitment fees were 0.10% and 0.15%, at September 30, 2025 and 2024, respectively.

The terms of the various financing arrangements between CHEFA, the System, and its lenders require the System to maintain certain financial covenants. Additionally, the Obligated Group has granted a collateral interest to CHEFA on their gross receipts.

Interest capitalized and included in construction in progress for the years ended September 30, 2025 and 2024 was approximately \$5.2 million and \$7.5 million, respectively.

Scheduled principal payments based on debt maturities, including variable rate debt classified as current, are as follows (in thousands):

	<u>Debt</u>
Year ending September 30:	
2026	\$ 180,478
2027	19,685
2028	50,100
2029	17,960
2030	19,210
Thereafter	<u>1,557,797</u>
	<u>\$ 1,845,230</u>

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The following table summarizes the System's interest rate swap agreements, including the current notional amounts (in thousands):

Swap type	Expiration date	System recieves	System pays	Current notional amount		Fair value	
				September 30,		September 30,	
				2025	2024	2025	2024
Yale NewHaven Hospital:							
Fixed to floating	July 1, 2025	SOFR + 0.11%	4.65	\$ —	5,974	\$ —	(66)
Fixed to floating	July 1, 2036	SOFR + 0.11%	5.50	44,505	44,505	(6,663)	(8,284)
Greenwich Hospital:							
Fixed to floating	July 1, 2026	SOFR + 0.11%	4.70	2,563	4,042	(15)	(54)
Health Services Corporation:							
Fixed to floating	July 1, 2049	67% of SOFR + 0.08%	2.31	100,965	100,965	4,216	312
Fixed to floating	July 1, 2049	67% of SOFR + 0.08%	2.29	67,310	67,310	3,065	381
Fixed to floating	July 1, 2060	67% of SOFR + 0.08%	0.56	30,738	24,430	23,442	17,738
Fixed to floating	July 1, 2060	67% of SOFR + 0.08%	0.61	30,738	24,430	22,295	17,264
				\$ 276,819	271,656	\$ 46,340	27,291

The swap agreements set the interest rate at a level viewed as desirable by the System. Such agreements expose the System to credit risk in the event of nonperformance by the counterparties; some of the risk is collateralized. At September 30, 2025 and 2024, the fair value of the swap agreements based on current interest rates was approximately \$46.3 million and \$27.3 million, respectively, representing a receivable offsetting the liabilities from the counterparties (recorded in other long-term liabilities). No collateral was required under swap agreements for the years ended September 30, 2025 and 2024.

(9) Leases

The System leases certain property and equipment under finance and operating leases, the classification of which is based on the underlying terms of the agreement and certain criteria, such as lease term relative to useful life and total lease payments compared to fair value, among others. Finance leases result in an accounting treatment similar to the acquisition of the asset.

For operating leases, the System has made an accounting policy election not to separate lease components and non-lease components in contracts when determining right-of-use assets and operating lease liabilities for real estate leases and to separate lease components and non-lease components for equipment leases. The System has also made an election not to record leases with an initial term of less than one year as right-of-use assets and operating lease liabilities.

For operating leases with initial terms greater than one year, the System records the related right-of-use assets and operating lease liabilities at the present value of the lease payment to be paid over the life of the related lease. The System includes those variable payments that are in substance fixed payments in the right-of-use assets and operating lease liabilities. The remaining variable payments are recorded through the variable lease expenses, which is included in the supply and other expenses in the consolidated statement of operations. Lease payments related to periods subject to renewal are excluded

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from amounts used to determine the right-of-use assets and operating lease liabilities unless the System is reasonably certain to exercise the option to extend the lease. The present value of lease payments is calculated by utilizing the discount rate stated in the lease, when specifically stated. For leases in which the rate is not readily available, the System has elected to use its internal borrowing rate.

The System's operating leases are primarily for real estate, including office space and parking, typically with initial terms between 1 and 25 years. The System's finance leases are primarily for real estate, including a building and parking garage, as well as computer equipment, typically with initial terms between 5 and 30 years.

The System elected the practical expedient package to not reassess at adoption (i) whether expired or existing contracts contain leases under the new definition of a lease, (ii) lease classification for expired or existing leases, or (iii) whether previously capitalized initial direct costs would qualify for capitalization under ASC 842.

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The following table presents the components of the lease asset, liabilities, and expenses related to leases and their classification in the consolidated balance sheets and statement of operations as of and for the year September 30, 2025 and 2024 (in thousands):

Components of lease balances and expenses	Classification in consolidated balance sheet and statement of operations	September 30	
		2025	2024
Assets:			
Operating lease assets	Right of use asset	\$ 263,311	296,835
Finance lease assets	Property plant and equipment, net	60,487	65,888
Total leased assets		323,798	362,723
Liabilities:			
Operating lease liabilities:			
Current	Operating lease liability – short-term	43,760	47,201
Long-term	Operating lease liability – long-term	229,122	258,254
Total operating lease liabilities		272,882	305,455
Finance lease liabilities:			
Current	Current portion of finance lease obligation	3,015	2,921
Long-term	Long-term finance lease obligations,	73,815	78,691
Total finance lease liabilities		76,830	81,612
Total lease liabilities		\$ 349,712	387,067
Expenses:			
Operating lease expense	Supplies and other operating expense	\$ 60,145	63,846
Variable lease expense	Supplies and other operating expense	5,140	6,508
Short-term lease expense	Supplies and other operating expense	21,990	18,903
Finance lease expense:			
Amortization of leased assets	Depreciation and amortization	1,796	4,217
Interest on lease liabilities	Interest	5,095	5,308
Total finance lease expense		6,891	9,525
Total lease expense		\$ 94,166	98,782

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The following table summarizes the operating cash flows from leases as well as the weighted average remaining lease terms and weighted average discount rates used to determine the lease obligations as of September 30, 2025 and 2024 (in thousands):

	September 30	
	2025	2024
Financing cash flows from finance leases	\$ 4,782	2,742
Operating cash flows from finance leases	5,095	5,308
Operating cash flows from operating leases	87,994	104,778
Weighted average remaining lease term – finance leases	15.98 years	16.84 years
Weighted average remaining lease term – operating leases	8.67 years	9.16 years
Weighted average discount rate – finance leases	7 %	6 %
Weighted average discount rate – operating leases	4 %	4 %
ROU assets obtained in exchange for operating lease liabilities	20,348	69,713

Future maturities of lease liabilities at September 30, 2025 are presented in the following table (in thousands):

	Finance leases	Operating leases
2026	\$ 7,920	53,607
2027	7,891	46,510
2028	7,859	41,086
2029	7,856	35,531
2030	7,857	28,055
Thereafter	82,820	113,830
Total lease payments	122,203	318,619
Less imputed interest	(45,373)	(45,737)
Total lease obligation	76,830	272,882
Less current portion	(3,015)	(43,760)
Long-term lease obligation	\$ 73,815	229,122

(10) Pensions and Postretirement Benefits

The System has qualified and nonqualified defined benefit and pension plans covering substantially all employees and executives. The benefits provided are based on age, years of service, and compensation. The System's policy is to fund the pension benefits with at least the minimum amounts required by the Employee Retirement Income Security Act of 1974.

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The System also sponsors contributory 403(b) plans and 401(k) plans covering substantially all employees. Employer contributions for certain 403(b) plans, made to a matching 401(a) plan, and 401(k) plans are determined based on employee contributions and years of service. The System contributed approximately \$153.9 million and \$120.3 million for the years ended September 30, 2025 and 2024, respectively. Contributions due to the defined contribution plans at September 30, 2025 and 2024, respectively, amounted to \$75.1 million and \$45.3 million, and are included in accrued expenses in the accompanying consolidated balance sheets.

YNHH maintains a Section 457 Nonqualified deferred compensation plan. Contributions are made on a pretax basis. The balances recorded at September 30, 2025 and 2024 in other assets and other long-term liabilities were approximately \$90.5 million and \$81.4 million, respectively.

On June 30, 2006, BH froze its defined benefit plan. On October 1, 2006, BH instituted a defined contribution plan and its members became eligible to participate in the BH defined contribution plan.

On March 29, 2018, GH amended its defined benefit pension plan to cease benefit accruals under the plan with respect to all formerly grandfathered members as of September 30, 2020, so that all members' pensions, to the extent not previously frozen, will be fixed on that date and those members became eligible to participate in the GH defined contribution plan.

As part of an acquisition, BH assumed the Milford Health & Medical, Inc. and Subsidiaries (MHM) defined benefit plan. Effective December 31, 2005, the Plan closed to new participants hired subsequent to January 1, 2006. Effective January 1, 2010, the Plan was frozen for all nonunion participants. Effective January 31, 2012, the Plan was frozen for union nurses and all other hospital personnel. Effective April 30, 2013, the Plan was frozen for union maintenance personnel.

On August 27, 2018, L+M amended its defined benefit pension plan to cease benefit accruals under the plan with respect to all formerly grandfathered members as of December 31, 2018, so that all members' pensions, to the extent not previously frozen, will be fixed on that date. In addition, those members became eligible to participate in the L+M defined contribution plan.

Effective March 26, 2020, the BH, MHM, L+M and YNHH plans were amended to permit the cash out of accounts of terminated vested participants with a balance of less than \$5,000 consistent with IRS regulations.

Effective October 1, 2022, the MHM defined benefit plan merged with the GH defined benefit plan and was renamed to the Yale New Haven Health System Pension Plan. Effective January 1, 2023, the BH defined benefit plan merged with the Yale New Haven Health System Pension Plan. Effective December 31, 2024, the L+M defined benefit plan merged with the Yale New Haven Health System Pension Plan.

Effective November 30, 2024 for the YNHH defined benefit plan, all accrued benefits for active participants will be "frozen" as of that date and no further benefits will be accrued. Future retirement benefits are to be provided through a defined contribution plan for those employees affected by the freeze.

L+M provides healthcare and life insurance benefits to its retired employees who meet certain eligibility requirements. L+M's policy is to fund the cost of postretirement benefits other than pensions as incurred. This plan was frozen to include only those employees who retired prior to May 1, 1994.

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YNHH also provides certain healthcare and life insurance benefits upon retirement to substantially all their employees. YNHH's policy is to fund these annual costs as they are incurred from the general assets of YNHH. The estimated cost of these postretirement benefits is actuarially determined and accrued over the employees' service periods.

The following table sets forth the change in benefit obligations, change in the plans' assets, and the reconciliation of underfunded status of the System's defined benefit plans and postretirement benefits plan as of September 30, 2025 and 2024 (in thousands):

	Defined-benefit pension plans		Postretirement benefits plan	
	2025	2024	2025	2024
Change in benefit obligation:				
Benefit obligation at prior measurement date	\$ 1,115,917	1,078,867	61,832	54,381
Service cost	4,121	28,725	1,283	1,142
Interest cost	53,589	63,217	3,064	3,221
Actuarial (gain) loss	33,202	81,235	(1,626)	6,032
Benefits paid	(78,087)	(70,070)	(2,939)	(2,950)
Plan amendment	—	647	—	—
Curtailment	—	(66,704)	—	—
Benefit obligation at current measurement date	<u>1,128,742</u>	<u>1,115,917</u>	<u>61,614</u>	<u>61,826</u>
Change in plans' assets:				
Fair value of assets at prior measurement date	1,080,711	973,912	—	—
Actual return on plans' assets	34,679	137,515	—	—
Employer contributions	14,467	39,355	2,939	2,950
Benefits paid	<u>(78,087)</u>	<u>(70,070)</u>	<u>(2,939)</u>	<u>(2,950)</u>
Fair value of plans' assets at current measurement date	<u>1,051,770</u>	<u>1,080,712</u>	<u>—</u>	<u>—</u>
Accrued benefit cost	<u>\$ (76,972)</u>	<u>(35,205)</u>	<u>(61,614)</u>	<u>(61,826)</u>

The actuarial loss in 2025 resulted in an overall increase in the September 30, 2025 projected benefit obligation of \$33,202, which was primarily attributable to the YNHH and L+M Plan amendments.

The actuarial loss in 2024 resulted in an overall increase in the September 30, 2024 projected benefit obligation of \$81,235, which was primarily attributable to a decrease in the discount rate assumption from 2023 to 2024.

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The accrued benefit cost included in the consolidated balance sheets includes the following (in thousands):

	Accrued pension obligations		Postretirement obligations	
	2025	2024	2025	2024
Qualified plans	\$ 30,265	(13,692)	—	—
Nonqualified plan	46,707	48,897	—	—
Postretirement plans	—	—	61,614	61,832
	<u>\$ 76,972</u>	<u>35,205</u>	<u>61,614</u>	<u>61,832</u>

Additionally, there are assets limited as to use which are available to fully satisfy the obligations of the nonqualified defined benefit pension plan at September 30, 2025 and 2024.

Benefit Obligation and Assumptions

The projected pension benefit obligation, accumulated benefit obligation and fair value of the plans' assets is as follows (in thousands):

	2025	2024
Projected benefit obligation	\$ 1,128,742	(1,115,917)
Accumulated benefit obligation	1,128,742	(1,114,610)
Fair value of plans' assets	1,051,770	1,080,712

The net periodic benefit cost for the years ended September 30, 2025 and 2024 is as follows (in thousands):

	Defined-benefit pension plans		Postretirement benefits plan	
	2025	2024	2025	2024
Service cost	\$ 4,120	28,725	1,283	1,142
Other components of net periodic benefit cost:				
Interest cost	53,589	63,217	3,064	3,221
Expected return on plan assets	(58,326)	(63,406)	—	—
Amortization of prior service cost (credit)	57	(1,566)	(37)	(37)
Curtailment gain	—	(5,373)	—	—
Recognized net actuarial gain (loss)	<u>5,516</u>	<u>4,171</u>	<u>(2,280)</u>	<u>(3,298)</u>
Total, other components of net periodic benefit cost	<u>836</u>	<u>(2,957)</u>	<u>747</u>	<u>(114)</u>
Total net periodic benefit cost	<u>\$ 4,956</u>	<u>25,768</u>	<u>2,030</u>	<u>1,028</u>

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Other changes in net assets without donor restrictions (OCNA) (income) loss for the years ended September 30, 2025 and 2024 is as follows (in thousands):

	Defined-benefit pension plans		Postretirement benefit plan	
	2025	2024	2025	2024
OCNA at prior fiscal year-end	\$ 237,973	294,138	(28,385)	(37,758)
Amounts amortized during the year:				
Net prior service credit	(57)	1,566	37	37
Net (loss) gain	(5,516)	(4,171)	2,280	3,298
Occurring during the year:				
Net gain (loss)	56,851	7,769	(1,626)	6,038
Curtailment	—	(61,329)	—	—
OCNA at current fiscal year-end	<u>\$ 289,251</u>	<u>237,973</u>	<u>(27,694)</u>	<u>(28,385)</u>

Weighted average assumptions used to determine benefit obligations at September 30, 2025 and 2024 are as follows:

	Defined-benefits pension plans		Postretirement benefits plan	
	2025	2024	2025	2024
Discount rate, qualified plans	5.2%–5.3%	4.9%–5.0%	5.3%	4.6%–5.1%
Discount rate, nonqualified plan	5.3	5.1	—	—
Rate of compensation increase, qualified plans	—	4.0	—	—
Rate of compensation increase, nonqualified plans	—	—	—	—
Cash balance interest crediting rate	5.0	4.0	—	—

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Weighted average assumptions used to determine net periodic benefit cost for the years ended September 30, 2025 and 2024 are as follows:

	Defined-benefit pension plans		Postretirement benefits plan	
	2025	2024	2025	2024
Discount rate for determining net periodic benefit cost at year-end, qualified plan	4.9%–5.0%	6.1 %	5.1%	6.0%–6.1%
Discount rate for determining net periodic benefit cost at year-end, nonqualified plan	5.1	6.1	—	—
Expected rate of return on plan assets	5.4–5.6	5.1–7.0	—	—
Rate of compensation increase qualified plan	4.0	4.0	—	—
Rate of compensation increase nonqualified plan	—	—	—	—
Cash balance interest crediting rate	4.0	4.9	—	—

For measurement purposes relating to the postretirement benefits plans, 2.0% - 4.0% annual rate of increase in the per capita cost of covered healthcare benefits was assumed for fiscal 2025 and 2024, respectively. Rates are assumed to increase annually at 2.0% for the medical plan benefit and 4% for the medical account benefit.

The asset allocation of the System's pension plans at September 30, 2025 and 2024, on a combined basis, was as follows:

Asset category	Target allocation	Percentage of assets	
	2026	2025	2024
	(varies by Plan)	(Aggregate all plans)	
Equity securities	5%–15%	11 %	13 %
Debt securities	59–89	68	63
Alternative investments	5–25	20	23
Cash	1	1	1
	100 %	100 %	100 %

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Financial assets, as of September 30, 2025, are classified in the following table (see note 15 for description) (in thousands):

	Investments measured at NAV	Investments classified in the fair value hierarchy (Level 1)	Total
Money market funds	\$ —	15,185	15,185
U.S. equity securities	—	21,636	21,636
International equity funds	27,953	265	28,218
Fixed-income funds:			
U.S. government	—	415,165	415,165
Corporate debt	—	304,482	304,482
Commodities	16,979	—	16,979
Private equity	68,915	—	68,915
Hedge funds:			
Absolute return	108,937	—	108,937
Long/short equity	20,573	—	20,573
Long-only equity	6,893	—	6,893
Real estate	44,787	—	44,787
Total investments	\$ 295,037	756,733	1,051,770

Financial assets, as of September 30, 2024, are classified in the following table (see note 15 for description) (in thousands):

	Investments measured at NAV	Investments classified in the fair value hierarchy (Level 1)	Total
Money market funds	\$ —	11,304	11,304
U.S. equity securities	—	38,537	38,537
International equity funds	33,512	10,377	43,889
Fixed-income funds:			
U.S. government	—	301,311	301,311
Corporate debt	—	371,939	371,939
Commodities	15,929	—	15,929
Private equity	58,594	—	58,594
Hedge funds:			
Absolute return	145,112	—	145,112
Long/short equity	38,213	—	38,213
Long-only equity	13,819	—	13,819
Real estate	41,982	—	41,982
Unallocated insurance contract	—	83	83
Total investments	\$ 347,161	733,551	1,080,712

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There are no pension investments that are measured at fair value based on Level 2 and Level 3 inputs at September 30, 2025 or 2024.

The following table is a summary of total investments as of September 30, 2025, with restrictions to redeem the investments at the measurement date and any unfunded capital commitments (in thousands):

Description of investment	Carrying value	Unfunded commitment	Redemption frequency	Notice period
International equity funds	\$ 27,953	—	Monthly	5–30 days
Commodities	16,979	1,737	None-quarterly	None and 45–90 days
Private equity	68,915	20,883	N/A	N/A
Hedge funds:				
Absolute return	108,937	—	Monthly/quarterly/annual	30–95 days
Long/short equity	20,573	—	Monthly/quarterly	45–180 days
Long only equity	6,893	—	Daily/monthly	5–10 days
Real estate	44,787	15,008	None	None
	<u>\$ 295,037</u>	<u>37,628</u>		

The following table is a summary of total investments as of September 30, 2024, with restrictions to redeem the investments at the measurement date and any unfunded capital commitments (in thousands):

Description of investment	Carrying value	Unfunded commitment	Redemption frequency	Notice period
International equity funds	\$ 33,512	—	Monthly	5–30 days
Commodities	15,929	1,298	None-quarterly	None and 45–90 days
Private equity	58,594	30,279	N/A	N/A
Hedge funds:				
Absolute return	145,112	—	Monthly/quarterly/annual	30–95 days
Long/short equity	38,213	—	Monthly/quarterly	45–180 days
Long only equity	13,819	—	Daily/monthly	5–10 days
Real estate	41,982	23,064	None	None
	<u>\$ 347,161</u>	<u>54,641</u>		

The System's investment strategy for its pension assets balances the liquidity needs of the pension plans with the long-term return goals necessary to satisfy future pension obligations. The target asset allocation seeks to capture the equity premium granted by the capital markets over the long-term while ensuring security of principal to meet near term expenses and obligations through the fixed-income allocation. The allocation of the investment pool to various sectors of the markets is designed to reduce volatility in the portfolio.

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The System's pension portfolios' return assumption is based on the targeted weighted average return of comparative market indices for the asset classes represented in the portfolio and adjusted for pension-related expenses.

The future cash flows of the System relative to retirement benefits are expected to be as follows (in thousands):

	<u>Defined-benefit pension plans</u>	<u>Postretirement benefit plan</u>
Estimated benefit payments related to year(s) ending		
September 30:		
2026	\$ 124,543	3,860
2027	80,997	4,068
2028	81,656	4,227
2029	81,261	4,322
2030	83,316	4,366
2031 to 2035	396,561	22,758

The System expects to make contributions of approximately \$4.3 million for pension benefits and approximately \$3.9 million for postretirement benefits in fiscal 2026.

(11) Professional Liability Insurance

In 1978, YNHH and a number of other unrelated academic medical centers formed The Medical Centre Insurance Company Ltd. (the Captive) to insure for professional and comprehensive general liability risks. In 1997, the Captive formed MCIC Vermont, Inc. (MCIC) to write direct insurance for the professional and general liability risks of the shareholders. Since 1997, the Captive has acted as a reinsurer for varying levels of per claim limit exposure. MCIC has reinsurance coverage from outside reinsurers for amounts above the per claim limits. In addition, the insurance structure includes a layer where the hospitals are self-insured for claims. Premiums are based on claims-made coverage and are actuarially determined based on actual experience of the System, the Captive, and MCIC.

YNHH controls less than 20% of the Class A stock of MCIC; however, for accounting purposes, the investment in the insurance companies is recorded on the equity method because of contractual agreements. This investment is recorded in long-term investments and is approximately \$121.1 million and \$102.7 million for the years ended September 30, 2025 and 2024, respectively.

The System's entities of GH, BH, LMC, NEMG, and YNH Urgent Care participate in the YNHH insurance program as additional insureds.

MCIC's policy is to establish retrospective-related premiums for its shareholders equivalent to estimated losses and general and administrative expenses, less estimated investment income, so that its results of operations are breakeven each year. The System accrues premiums as incurred.

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September 30, 2025 and 2024

The estimate for claims-made professional liabilities and the estimate for incidents that have been incurred but not reported aggregated approximately \$411.5 million and \$409.2 million at September 30, 2025 and 2024, respectively, for the System.

The undiscounted estimate for incidents that have been incurred but not reported aggregated approximately \$140.8 million and \$122.5 million for the System at September 30, 2025 and 2024, respectively, and is included in professional insurance liabilities in the accompanying consolidated balance sheets at the actuarially determined present value of approximately \$123.7 million and \$109.5 million, respectively, based on a discount rate of 2.8% and 2.6% for years ended September 30, 2025 and 2024, respectively.

The System has recorded related insurance recoveries receivable of approximately \$287.8 million and \$299.7 million at September 30, 2025 and 2024, respectively, in consideration of the expected insurance recoveries for the total discounted claims-made insurance. The current portion of professional insurance liabilities and the related insurance receivable represent an estimate of expected settlements and insurance recoveries over the next 12 months.

The System's estimates for professional insurance liabilities are based upon complex actuarial calculations, which utilize factors such as historical claims experience for the System and related industry factors, trending models, estimates for the payment patterns of future claims, and present value discount factors. As a result, there is at least a reasonable possibility that recorded estimates will change by a material amount in the near term. Revisions to estimated amounts resulting from actual experience differing from projected expectations are recorded in the period the information becomes known or when changes are anticipated.

(12) Commitments and Contingencies

Various lawsuits and claims arising in the normal course of operations are pending, or are in progress, against the System. Such lawsuits and claims are either specifically covered by insurance as explained in note 11 or are deemed not material. While the outcomes of the lawsuits and claims cannot be determined at this time, management believes that any loss, which may arise from these actions, will not have a material adverse effect on the consolidated financial position or changes in net assets of the System.

The System has received requests for information from certain governmental agencies relating to, among other things, patient billings. These requests cover several prior years relating to compliance with certain laws and regulations. Management is cooperating with those governmental agencies in their information requests and ongoing investigations. The ultimate results of those investigations, including the impact on the System, cannot be determined at this time.

In October 2022, YNHHS entered into an asset purchase agreement (APA) with Prospect Medical Holdings, Inc. and its affiliates ("Prospect") to acquire certain assets and liabilities of three Connecticut-based hospitals and affiliates (the "Prospect Asset Purchase Agreement"; the transactions contemplated by the Prospect Asset Purchase Agreement are referred to herein as the "Prospect Transaction").

YNHHS filed suit in May 2024 seeking a declaration that Prospect was in breach of its obligations under the APA and that there had been a material adverse change in the condition of the Prospect hospitals and accordingly, YNHHS was not required to close the transaction. Prospect responded by asserting a

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counterclaim for breach of contract and sought a declaration seeking monetary damages and/or requiring YNHSC to complete the transaction.

In 2025, Prospect filed for bankruptcy, staying the case. YNHSC and Prospect reached an agreement in principle to resolve their disputes prior to September 30, 2025, under which YNHSC would pay to Prospect \$45.0 million, the APA would be terminated, and the claims of all parties would be released. The settlement was recorded in accounts payable and accrued expenses in the consolidated balance sheet as of September 30, 2025. That settlement was formally approved by the bankruptcy court in October 2025 and the Connecticut Superior Court case was withdrawn by the parties in November 2025. The settlement was paid in October, 2025.

(13) Functional Expenses

The System provides general acute healthcare services to residents within its geographic areas. Net expenses related to providing these services are as follows (in thousands):

	Healthcare services	General and administrative	Total
For the year ended September 30, 2025:			
Salaries and benefits	\$ 3,281,157	373,095	3,654,252
Supplies and other expenses	3,378,545	259,589	3,638,134
Insurance	110,521	16,338	126,859
Depreciation and amortization	192,008	73,328	265,336
Interest	33,736	329	34,065
Restructuring	—	57,741	57,741
	<u>\$ 6,995,967</u>	<u>780,420</u>	<u>7,776,387</u>
For the year ended September 30, 2024:			
Salaries and benefits	\$ 3,166,838	385,219	3,552,057
Supplies and other expenses	3,082,100	215,169	3,297,269
Insurance	89,465	12,202	101,667
Depreciation and amortization	177,534	42,102	219,636
Interest	20,343	127	20,470
	<u>\$ 6,536,280</u>	<u>654,819</u>	<u>7,191,099</u>

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(14) Other Revenue

Other revenue consisted of the following (in thousands):

	Year ended September 30	
	2025	2024
Pharmacy sales	\$ 988,316	722,583
Grants	38,861	45,839
FEMA grants	874	4,402
Parking income	10,352	10,134
Cafeteria and vending	18,979	17,546
Greenwich Hospital Foundation distributed income	6,200	6,200
Rental income	4,917	3,941
Net assets released from restrictions for operations	21,432	17,234
Net assets released from restrictions for clinical programs	3,442	3,342
Net assets released from restrictions for free care	3,308	3,194
Other	59,818	51,454
	\$ 1,156,499	885,869

For pharmacy sales, each prescription claim is its own arrangement with the customer and is a performance obligation. Revenue is recognized at a point in time.

(15) Fair Values of Financial Instruments

In determining fair value, the System utilizes valuation techniques that maximize the use of observable inputs and minimize the use of unobservable inputs. The System also considers nonperformance risk in the overall assessment of fair value.

ASC 820-10, *Fair Value Measurements – Overall*, establishes a three-tier valuation hierarchy for fair value disclosure purposes. This hierarchy is based on the transparency of the inputs utilized for the valuation. The three levels are defined as follows:

Level 1: Quoted prices in active markets that are accessible at the measurement date for identical assets or liabilities. This established hierarchy assigns the highest priority to Level 1 assets.

Level 2: Observable inputs that are based on data not quoted in active markets, but corroborated by market data.

Level 3: Unobservable inputs that are used when little or no market data is available. The inputs are assigned the lowest priority.

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Notes to Consolidated Financial Statements

September 30, 2025 and 2024

Financial assets carried at fair value on a recurring basis, and exclude pledges receivable, net and other investments under the equity method as of September 30, 2025 are classified in the following tables by level within the fair value hierarchy as described above (in thousands):

September 30, 2025			
	Financial assets measured at NAV	Financial assets classified in the fair value hierarchy Level 1	Total
Cash and cash equivalents	\$ —	606,588	606,588
Money market funds	—	39,783	39,783
U.S. equity securities	—	774,659	774,659
International equity funds	604,011	3,420	607,431
Fixed-income funds:			
U.S. government	—	473,646	473,646
International government	—	1,710	1,710
Commodities	49,921	—	49,921
Hedge funds:			
Absolute return	376,176	—	376,176
Long/short equity	126,160	—	126,160
Long-only equity	226,209	—	226,209
Private equity	134,504	—	134,504
Real estate	114,388	—	114,388
Interest in Yale University endowment pool	648,602	—	648,602
Perpetual trusts and Beneficial Interest in Trusts	64,966	—	64,966
Total financial assets	\$ <u>2,344,937</u>	<u>1,899,806</u>	<u>4,244,743</u>

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September 30, 2025 and 2024

Financial assets carried at fair value on a recurring basis, and exclude pledges receivable, net and other investments under the equity method as of September 30, 2024 are classified in the following tables by level within the fair value hierarchy as described above (in thousands):

	September 30, 2024		
	Financial assets measured at NAV	Financial assets classified in the fair value hierarchy Level 1	Total
Cash and cash equivalents	\$ —	668,811	668,811
Money market funds	—	64,106	64,106
U.S. equity securities	—	635,052	635,052
International equity funds	634,979	6,766	641,745
Fixed-income funds:			
U.S. government	—	598,281	598,281
International government	—	1,926	1,926
Commodities	33,983	42	34,025
Hedge funds:			
Absolute return	310,977	—	310,977
Long/short equity	135,375	—	135,375
Long-only equity	96,171	—	96,171
Private equity	94,225	—	94,225
Real estate	83,995	—	83,995
Interest in Yale University endowment pool	809,885	—	809,885
Perpetual trusts and beneficial interest in trusts	60,144	—	60,144
Total financial assets	\$ <u>2,259,734</u>	<u>1,974,984</u>	<u>4,234,718</u>

The amounts reported in the tables detailed above do not include assets invested in the System's defined benefit pension plans. The beneficial interest in remainder trust listed in the above tables are included in other assets.

At September 30, 2025 and 2024, the fair values of the System's interest rate swap agreements were approximately \$46.3 million and \$27.3 million, respectively, representing a receivable offsetting the liabilities from the counterparties. The interest rate swap agreements are classified as Level 2 in the fair value hierarchy.

There are no assets or liabilities that are measured at fair value based on Level 3 inputs at September 30, 2025 or 2024.

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Notes to Consolidated Financial Statements

September 30, 2025 and 2024

The following is a summary of assets measured at NAV as of September 30, 2025 with restrictions to redeem the investments at the measurement date and any unfunded capital commitments (in thousands):

Description of investment	Carrying value	Unfunded commitments	Redemption frequency	Notice period	Funds availability
International equity funds	\$ 604,011	—	Monthly	5–30 days	5–30 days
Commodities	49,921	32,927	None/quarterly	None–90 days	None–90 days
Hedge funds:					
Absolute return	376,176	8,000	Monthly/quarterly/annual	30–90 days	30–90 days
Long/short equity	126,160	—	Monthly/quarterly	45–180 days	45–180 days
Long-only equity	226,209	20,300	Daily/monthly	5-30 days	5-30 days
Private equity	134,504	114,131	N/A	N/A	N/A
Real estate	114,388	94,842	None	None	None
Interest in Yale University endowment pool	648,602	—	*	*	*
Perpetual trusts and beneficial interest in trusts	64,966	—	*	*	*
	<u>\$ 2,344,937</u>	<u>270,200</u>			

* See note 1 for descriptions.

The following is a summary of assets measured at NAV as of September 30, 2024, with restrictions to redeem the investments at the measurement date and any unfunded capital commitments (in thousands):

Description of investment	Carrying value	Unfunded commitments	Redemption frequency	Notice period	Funds availability
International equity funds	\$ 634,979	—	Monthly	5–30 days	5–30 days
Commodities	33,983	1,558	None/quarterly	None–90 days	None–90 days
Hedge funds:					
Absolute return	310,977	—	Monthly/quarterly/annual	30–90 days	30–90 days
Long/short equity	135,375	—	Monthly/quarterly	45–180 days	45–180 days
Long-only equity	96,171	—	Daily/monthly	5-30 days	5-30 days
Private equity	94,225	117,062	N/A	N/A	N/A
Real estate	83,995	116,532	None	None	None
Interest in Yale University endowment pool	809,885	—	*	*	*
Perpetual trusts and beneficial interest in trusts	60,144	—	*	*	*
	<u>\$ 2,259,734</u>	<u>235,152</u>			

* See footnote 1 for descriptions.

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Notes to Consolidated Financial Statements

September 30, 2025 and 2024

(16) Subsequent Events

Management has evaluated subsequent events through December 16, 2025, which is the date the consolidated financial statements were issued, for potential recognition or disclosure in the accompanying consolidated financial statements for the year ended September 30, 2025. No events have occurred that require recognition or disclosure in the accompanying consolidated financial statements.

SUPPLEMENTARY INFORMATION

YALE NEW HAVEN HEALTH SERVICES CORPORATION
(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidating Balance Sheet

September 30, 2025

(In thousands)

Assets	Yale New Haven Health Services Corporation	NEMG	Yale New Haven Hospital and Subsidiaries	Bridgeport Hospital and Subsidiaries	Greenwich Hospital and Subsidiaries	L+M	CPBS	Yale New Haven Clinical Affiliates, LLC	Yale New Haven Health Comprehensive Care Network, Inc.	Oak Captive	Yale New Haven Health Urgent Care	Eliminations	Total System	Less nonobligated entities	Obligated group
Current assets:															
Cash and cash equivalents	\$ 517,857	87	10,083	888	17,048	24,110	—	893	12,207	11,243	12,172	—	606,588	(61,525)	545,063
Short-term investments	218,774	—	2,455,797	112,556	300,779	27,097	—	—	1,988	—	—	—	3,116,991	(8,806)	3,108,185
Patient receivables	—	47,910	434,102	85,909	70,687	88,231	—	—	6,018	—	6,042	—	738,899	(13,293)	725,606
Professional liabilities insurance recoveries receivable	82,923	—	—	—	—	—	—	—	—	—	—	—	82,923	—	82,923
Other assets	495,502	47,795	579,008	88,170	14,145	78,013	3,573	22,812	148	—	10,409	(981,521)	358,054	29,701	387,755
Assets limited as to use – debt service fund	6	—	1,346	64	984	—	—	—	—	—	—	—	2,400	—	2,400
Total current assets	1,315,062	95,792	3,480,336	287,587	403,643	217,451	3,573	23,705	20,361	11,243	28,623	(981,521)	4,905,855	(53,923)	4,851,932
Assets limited as to use	—	—	129,962	1,869	21,891	17,157	—	—	21,655	—	—	—	192,534	(21,656)	170,878
Long-term investments	121,118	—	155,049	74,949	67,517	29,464	—	—	1	—	—	—	448,098	—	448,098
Interest in the net assets of Greenwich Hospital	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Endowment Fund, Inc. (GHEF)	—	—	—	—	135,023	—	—	—	—	—	—	—	135,023	—	135,023
Investment in LMC	277,307	—	—	—	—	—	—	—	—	—	—	(277,307)	—	—	—
Professional liabilities insurance recoveries receivable	204,843	—	—	—	—	—	—	—	—	—	—	—	204,843	—	204,843
Other assets	1,041,489	—	114,854	1,419	3,878	1,146	—	—	127	—	—	(988,583)	174,330	87,063	261,393
Right of use assets	17,048	29,472	131,379	14,423	50,854	7,508	—	—	3,546	—	9,081	—	263,311	(12,796)	250,515
Property, plant, and equipment, net	240,961	22,612	1,618,132	314,389	210,072	285,723	—	—	3,320	—	4,962	—	2,700,171	(21,019)	2,679,152
Goodwill	239,922	—	—	—	—	—	—	—	—	—	—	—	239,922	—	239,922
Total assets	\$ 3,457,750	147,876	5,629,712	694,636	892,878	558,449	3,573	23,705	49,010	11,243	42,666	(2,247,411)	9,264,087	(22,331)	9,241,756

YALE NEW HAVEN HEALTH SERVICES CORPORATION
(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidating Balance Sheet

September 30, 2025

(In thousands)

Liabilities and Net Assets	Yale New Haven Health Services Corporation	NEMG	Yale New Haven Hospital and Subsidiaries	Bridgeport Hospital and Subsidiaries	Greenwich Hospital and Subsidiaries	L+M	CPBS	Yale New Haven Clinical Affiliates, LLC	Yale New Haven Health Comprehensive Care Network, Inc.	Oak Captive	Yale New Haven Health Urgent Care	Eliminations	Total System	Less nonobligated entities	Obligated group
Current liabilities:															
Accounts payable and accrued expenses	\$ 696,298	100,009	742,737	289,935	69,511	95,937	5,131	14,724	56,258	156	11,923	(854,827)	1,227,792	(9,191)	1,218,601
Current portion of long-term debt	22,535	—	13,860	1,655	3,745	3,275	—	—	—	—	—	(22,535)	22,535	—	22,535
Variable rate debt classified as current	157,943	—	157,943	—	—	—	—	—	—	—	—	(157,943)	157,943	—	157,943
Current portion of finance lease obligation	—	—	—	2,956	—	—	—	—	—	—	59	—	3,015	(59)	2,956
Current portion of professional insurance liabilities	82,923	—	—	—	—	—	—	—	—	—	—	—	82,923	—	82,923
Operating lease liability – short-term	5,277	6,106	16,323	4,199	8,067	1,432	—	—	561	—	1,795	—	43,760	(2,527)	41,233
Other liabilities	24,322	5,605	57,567	11,312	7,793	8,766	—	824	20	—	21,181	(22,517)	114,873	(708)	114,165
Total current liabilities	989,298	111,720	988,430	310,057	89,116	109,410	5,131	15,548	56,839	156	34,958	(1,057,822)	1,652,841	(12,485)	1,640,356
Long-term debt, net of current portion and deferred financing costs	1,675,418	—	832,117	20,944	—	36,142	—	—	—	—	—	(889,203)	1,675,418	(1)	1,675,417
Long-term finance lease obligations, net of current portion	—	—	—	73,779	—	—	—	—	—	—	36	—	73,815	(36)	73,779
Accrued pension and postretirement benefit obligations	32,963	—	105,553	—	—	70	—	—	—	—	—	—	138,586	—	138,586
Professional insurance liabilities, net of current portion	328,558	—	—	—	—	—	—	—	—	—	—	—	328,558	—	328,558
Operating lease liability – long-term	11,771	23,489	123,532	10,212	43,526	6,077	—	—	2,985	—	7,530	—	229,122	(10,514)	218,608
Other liabilities	69,072	28	239,117	18,936	11,071	12,518	—	—	1,685	628	—	(287)	352,768	(2,313)	350,455
Total liabilities	3,107,080	135,237	2,288,749	433,928	143,713	164,217	5,131	15,548	61,509	784	42,524	(1,947,312)	4,451,108	(25,349)	4,425,759
Net assets:															
Net assets without donor restrictions	314,469	12,639	3,162,231	181,025	524,168	343,909	(1,558)	8,157	(12,634)	10,459	142	(263,898)	4,279,109	4,967	4,284,076
Net assets with donor restrictions	36,201	—	178,732	79,683	224,997	50,323	—	—	135	—	—	(36,201)	533,870	(1,949)	531,921
Total net assets	350,670	12,639	3,340,963	260,708	749,165	394,232	(1,558)	8,157	(12,499)	10,459	142	(300,099)	4,812,979	3,018	4,815,997
Total liabilities and net assets	\$ 3,457,750	147,876	5,629,712	694,636	892,878	558,449	3,573	23,705	49,010	11,243	42,666	(2,247,411)	9,264,087	(22,331)	9,241,756

YALE NEW HAVEN HEALTH SERVICES CORPORATION
(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidating Statement of Operations and Changes in Net Assets

Year ended September 30, 2025

(In thousands)

	Yale New Haven Health Services Corporation	NEMG	Yale New Haven Hospital and Subsidiaries	Bridgeport Hospital and Subsidiaries	Greenwich Hospital and Subsidiaries	L+M	CPBS	Yale New Haven Clinical Affiliates, LLC	Yale New Haven Health Comprehensive Care Network, Inc.	Oak Captive	Yale New Haven Health Urgent Care	Eliminations	Total System	Less nonobligated entities	Obligated group
Net assets without donor restrictions:															
Patient service revenue	\$ —	340,934	4,064,232	848,739	519,847	630,749	—	—	38,749	—	53,369	(73,548)	6,423,071	(108,308)	6,314,763
Other revenue	1,025,828	389,494	1,114,831	81,728	18,824	29,896	2,502	29,336	1,334	750	—	(1,538,024)	1,156,499	(354,317)	802,182
Total operating revenue	1,025,828	730,428	5,179,063	930,467	538,671	660,645	2,502	29,336	40,083	750	53,369	(1,611,572)	7,579,570	(462,625)	7,116,945
Operating expenses:															
Salaries and benefits	531,931	451,420	1,758,112	390,951	207,443	282,981	1,551	4,580	43,114	—	34,848	(52,679)	3,654,252	(107,633)	3,546,619
Supplies and other	326,539	261,433	3,232,948	555,232	327,903	343,989	951	16,599	12,100	203	21,215	(1,460,978)	3,638,134	(362,518)	3,275,616
Insurance	125,196	16,153	46,745	16,867	9,843	8,320	—	—	216	628	583	(97,692)	126,859	(2,042)	124,817
	983,666	729,006	5,037,805	963,050	545,189	635,290	2,502	21,179	55,430	831	56,646	(1,611,349)	7,419,245	(472,193)	6,947,052
Operating income (loss) before depreciation, amortization, interest, and restructuring expenses	42,162	1,422	141,258	(32,583)	(6,518)	25,355	—	8,157	(15,347)	(81)	(3,277)	(223)	160,325	9,568	169,893
Depreciation and amortization	79,452	2,358	112,205	32,252	18,720	18,296	—	—	1,059	—	994	—	265,336	(3,115)	262,221
Interest	329	—	26,321	5,835	183	1,611	—	—	—	—	9	(223)	34,065	(9)	34,056
Operating (loss) income before restructuring expenses	(37,619)	(936)	2,732	(70,670)	(25,421)	5,448	—	8,157	(16,406)	(81)	(4,280)	—	(139,076)	12,692	(126,384)
Restructuring expense	23,084	—	20,035	7,544	2,709	3,759	—	—	610	—	—	—	57,741	—	57,741
Operating (loss) income	(60,703)	(936)	(17,303)	(78,214)	(28,130)	1,689	—	8,157	(17,016)	(81)	(4,280)	—	(196,817)	12,692	(184,125)
Nonoperating gains (losses), net:															
Income (loss) from investments, donations and other, net	(22,950)	939	232,903	383	56,372	3,838	—	—	2,656	—	(2,269)	—	271,872	643	272,515
Pension cost other than service cost, net	(3,237)	—	(2,088)	—	—	385	—	—	—	—	—	—	(4,940)	—	(4,940)
Change in fair value of swap, including counter party payments	12,031	—	9,153	—	36	—	—	—	—	—	—	—	21,220	—	21,220
Total nonoperating (losses) gains, net	(14,156)	939	239,968	383	56,408	4,223	—	—	2,656	—	(2,269)	—	288,152	643	288,795
(Deficiency) excess of revenue over expenses	(74,859)	3	222,665	(77,831)	28,278	5,912	—	8,157	(14,360)	(81)	(6,549)	—	91,335	13,335	104,670
Other changes in net assets without donor restrictions:															
Other	—	(3)	7	—	—	—	—	—	—	10,540	—	(10,540)	4	—	4
Net assets released from restrictions for purchases of property, plant and equipment	—	—	41,784	1,863	2,835	3,413	—	—	4	—	—	—	49,899	(236)	49,663
Pension and postretirement related changes other than net periodic benefit cost	(35,932)	—	(40,821)	—	—	24,784	—	—	—	—	—	—	(51,969)	—	(51,969)
Changes in net assets without donor restrictions	(110,791)	—	223,635	(75,968)	31,113	34,109	—	8,157	(14,356)	10,459	(6,549)	(10,540)	89,269	13,099	102,368

YALE NEW HAVEN HEALTH SERVICES CORPORATION
(d/b/a Yale New Haven Health System and Subsidiaries)
Consolidating Statement of Operations and Changes in Net Assets
Year ended September 30, 2025
(In thousands)

	Yale New Haven Health Services Corporation	NEMG	Yale New Haven Hospital and Subsidiaries	Bridgeport Hospital and Subsidiaries	Greenwich Hospital and Subsidiaries	L+M	CPBS	Yale New Haven Clinical Affiliates, LLC	Yale New Haven Health Comprehensive Care Network, Inc.	Oak Captive	Yale New Haven Health Urgent Care	Eliminations	Total System	Less nonobligated entities	Obligated group
Net assets with donor restrictions:															
Income from investments	\$ —	—	1,505	1,074	1,008	464	—	—	—	—	—	—	4,051	—	4,051
Net realized and unrealized losses on investments	—	—	9,071	6,316	13,650	2,684	—	—	4	—	—	—	31,725	(4)	31,721
Bequests and contributions	—	—	51,051	2,315	7,370	1,633	—	—	—	—	—	—	62,369	(608)	61,761
Net assets released from restrictions for purchases of property, plant and equipment	—	—	(41,784)	(1,863)	(2,835)	(3,413)	—	—	(4)	—	—	—	(49,899)	235	(49,664)
Net assets released from restrictions for operations	—	—	(10,943)	(3,909)	(4,451)	(2,129)	—	—	—	—	—	—	(21,432)	59	(21,373)
Net assets released from restrictions for clinical programs and free care	—	—	(4,123)	(999)	(1,243)	(365)	—	—	(20)	—	—	—	(6,750)	19	(6,731)
Net assets restricted for Greenwich Hospital Endowment Fund, Inc. (GHEF)	—	—	—	—	(6,200)	—	—	—	—	—	—	—	(6,200)	—	(6,200)
Change in beneficial interest in perpetual trusts	—	—	1,660	—	1,944	1,060	—	—	—	—	—	—	4,664	—	4,664
Other	—	—	45	(148)	194	158	—	—	—	—	—	—	249	(16)	233
Changes in net assets with donor restrictions	—	—	6,482	2,786	9,437	92	—	—	(20)	—	—	—	18,777	(315)	18,462
Increase (decrease) in net assets	(110,791)	—	230,117	(73,182)	40,550	34,201	—	8,157	(14,376)	10,459	(6,549)	(10,540)	108,046	12,784	120,830
Net assets at beginning of year	461,461	12,639	3,110,846	333,890	708,615	360,031	(1,558)	—	1,877	—	6,691	(289,559)	4,704,933	(9,766)	4,695,167
Net assets at end of year	\$ 350,670	12,639	3,340,963	260,708	749,165	394,232	(1,558)	8,157	(12,499)	10,459	142	(300,099)	4,812,979	3,018	4,815,997

See accompanying notes to consolidated financial statements.

YALE NEW HAVEN HOSPITAL AND SUBSIDIARIES
(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidating Balance Sheet

September 30, 2025

(In thousands)

Assets	Hospital	MCP	ASC	YNHCCC	Eliminations	Total
Current assets:						
Cash and cash equivalents	\$ 350	—	9,694	39	—	10,083
Short-term investments	2,455,797	—	—	—	—	2,455,797
Patient receivables	432,420	—	187	1,495	—	434,102
Other assets	543,288	118,397	8,285	3	(90,965)	579,008
Assets limited as to use – debt service fund	1,346	—	—	—	—	1,346
Total current assets	3,433,201	118,397	18,166	1,537	(90,965)	3,480,336
Assets limited as to use	129,962	—	—	—	—	129,962
Long-term investments	155,049	—	—	—	—	155,049
Other assets	181,079	(1,450)	10,640	701	(76,116)	114,854
Right of use assets	131,379	—	—	—	—	131,379
Property, plant, and equipment, net	1,599,053	11,151	265	7,663	—	1,618,132
Total assets	<u>\$ 5,629,723</u>	<u>128,098</u>	<u>29,071</u>	<u>9,901</u>	<u>(167,081)</u>	<u>5,629,712</u>

YALE NEW HAVEN HOSPITAL AND SUBSIDIARIES
(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidating Balance Sheet

September 30, 2025

(In thousands)

Liabilities and Net Assets	Hospital	MCP	ASC	YNHCCC	Eliminations	Total
Current liabilities:						
Accounts payable and accrued expenses	\$ 699,424	80,550	1,400	52,328	(90,965)	742,737
Current portion of long-term debt	13,860	—	—	—	—	13,860
Variable rate debt classified as current	157,943	—	—	—	—	157,943
Current portion of finance lease obligation	—	—	—	—	—	—
Operating lease liability – short-term	16,323	—	—	—	—	16,323
Other liabilities	55,972	1,194	4	397	—	57,567
Total current liabilities	943,522	81,744	1,404	52,725	(90,965)	988,430
Long-term debt, net of current portion and deferred financing costs	832,117	—	—	—	—	832,117
Accrued pension and postretirement benefit obligations	105,553	—	—	—	—	105,553
Operating lease liability – long-term	123,532	—	—	—	—	123,532
Other liabilities	237,189	1,902	8,809	4,026	(12,809)	239,117
Total liabilities	2,241,913	83,646	10,213	56,751	(103,774)	2,288,749
Net assets (deficiency):						
Net assets without donor restrictions	3,209,078	44,452	18,858	(46,850)	(63,307)	3,162,231
Net assets with donor restrictions	178,732	—	—	—	—	178,732
Total Yale New Haven Hospital & Subsidiaries net assets (deficiency)	3,387,810	44,452	18,858	(46,850)	(63,307)	3,340,963
Total liabilities and net assets	\$ 5,629,723	128,098	29,071	9,901	(167,081)	5,629,712

See accompanying independent auditors' report.

YALE NEW HAVEN HOSPITAL AND SUBSIDIARIES
(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidating Statement of Operations and Changes in Net Assets

Year ended September 30, 2025

(In thousands)

	<u>Hospital</u>	<u>MCP</u>	<u>ASC</u>	<u>YNHCCC</u>	<u>Eliminations</u>	<u>Total</u>
Net assets without donor restrictions:						
Patient service revenue	\$ 4,040,296	—	9,007	14,929	—	4,064,232
Other revenue	662,169	529,218	520	3	(77,079)	1,114,831
Total operating revenue	4,702,465	529,218	9,527	14,932	(77,079)	5,179,063
Operating expenses:						
Salaries and benefits	1,709,060	32,006	3,736	13,310	—	1,758,112
Supplies and other	2,804,541	480,524	2,285	8,712	(63,114)	3,232,948
Insurance	44,692	1,968	53	32	—	46,745
	4,558,293	514,498	6,074	22,054	(63,114)	5,037,805
Operating income (loss) before depreciation, amortization, interest, and restructuring expenses	144,172	14,720	3,453	(7,122)	(13,965)	141,258
Depreciation and amortization	110,843	905	14	443	—	112,205
Interest	26,098	318	—	—	(95)	26,321
Operating (loss) income before restructuring expenses	7,231	13,497	3,439	(7,565)	(13,870)	2,732
Restructuring Charge	19,880	—	—	155	—	20,035
Operating (loss) income	(12,649)	13,497	3,439	(7,720)	(13,870)	(17,303)
Nonoperating gains (losses), net:						
Income (loss) from investments, donations and other, net	235,966	(3,239)	(524)	—	700	232,903
Pension cost other than service cost, net	(2,088)	—	—	—	—	(2,088)
Change in fair value of swap, including counterparty payments	9,153	—	—	—	—	9,153
Total nonoperating gains (losses), net	243,031	(3,239)	(524)	—	700	239,968
Excess (deficiency) of revenue over expenses	230,382	10,258	2,915	(7,720)	(13,170)	222,665
Other changes in net assets without donor restrictions:						
Other	7	—	—	—	—	7
Net assets released from restrictions for purchases of property, plant and equipment	41,784	—	—	—	—	41,784
Pension and post-retirement related changes other than net periodic benefit cost	(40,821)	—	—	—	—	(40,821)
Changes in net assets without donor restrictions	231,352	10,258	2,915	(7,720)	(13,170)	223,635

YALE NEW HAVEN HOSPITAL AND SUBSIDIARIES
(d/b/a Yale New Haven Health System and Subsidiaries)

Consolidating Statement of Operations and Changes in Net Assets

Year ended September 30, 2025

(In thousands)

	<u>Hospital</u>	<u>MCP</u>	<u>ASC</u>	<u>YNHCCC</u>	<u>Eliminations</u>	<u>Total</u>
Net assets with donor restrictions:						
Income from investments	\$ 1,505	—	—	—	—	1,505
Net realized and unrealized losses on investments	9,071	—	—	—	—	9,071
Bequests and contributions	51,051	—	—	—	—	51,051
Net assets released from restrictions for purchases of property, plant and equipment	(41,784)	—	—	—	—	(41,784)
Net assets released from restrictions for operations	(10,943)	—	—	—	—	(10,943)
Net assets released from restrictions for clinical programs	(4,123)	—	—	—	—	(4,123)
Change in beneficial interest in perpetual trusts	1,660	—	—	—	—	1,660
Other	45	—	—	—	—	45
	<u>6,482</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>6,482</u>
Change in net assets with donor restrictions						
	<u>6,482</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>6,482</u>
Increase (decrease) in net assets	237,834	10,258	2,915	(7,720)	(13,170)	230,117
Net assets (deficiency) at beginning of year	3,149,976	34,194	15,943	(39,130)	(50,137)	3,110,846
Net assets (deficiency) at end of year	<u>\$ 3,387,810</u>	<u>44,452</u>	<u>18,858</u>	<u>(46,850)</u>	<u>(63,307)</u>	<u>3,340,963</u>

See accompanying independent auditors' report.

BRIDGEPORT HOSPITAL AND SUBSIDIARIES

Consolidating Balance Sheet

September 30, 2025

(In thousands)

Assets	Hospital	Foundation	Properties	Eliminations	Total
Current assets:					
Cash and cash equivalents	\$ —	556	332	—	888
Short-term investments	10,421	102,135	—	—	112,556
Patient receivables	85,909	—	—	—	85,909
Other assets	88,747	964	—	(1,541)	88,170
Assets limited as to use – debt service fund	64	—	—	—	64
Total current assets	185,141	103,655	332	(1,541)	287,587
Assets limited as to use	—	1,869	—	—	1,869
Long-term investments	28,392	46,557	—	—	74,949
Investment in Bridgeport Hospital Foundation	151,503	—	—	(151,503)	—
Other assets	637	782	—	—	1,419
Right of use assets	14,423	—	—	—	14,423
Property, plant, and equipment, net	314,068	—	321	—	314,389
Total assets	\$ 694,164	152,863	653	(153,044)	694,636

BRIDGEPORT HOSPITAL AND SUBSIDIARIES

Consolidating Balance Sheet

September 30, 2025

(In thousands)

Liabilities and Net Assets	Hospital	Foundation	Properties	Eliminations	Total
Current liabilities:					
Accounts payable and accrued expenses	\$ 289,212	1,198	1,066	(1,541)	289,935
Current portion of long-term debt	1,655	—	—	—	1,655
Current portion of finance lease obligation	2,956	—	—	—	2,956
Operating lease liability – short-term	4,199	—	—	—	4,199
Other liabilities	11,312	—	—	—	11,312
Total current liabilities	309,334	1,198	1,066	(1,541)	310,057
Long-term debt, net of current portion and deferred financing costs	20,944	—	—	—	20,944
Long-term finance lease obligations, net of current portion	73,779	—	—	—	73,779
Operating lease liability – long-term	10,212	—	—	—	10,212
Other liabilities	18,774	162	—	—	18,936
Total liabilities	433,043	1,360	1,066	(1,541)	433,928
Net assets:					
Net assets without donor restrictions	181,438	102,943	(413)	(102,943)	181,025
Net assets with donor restrictions	79,683	48,560	—	(48,560)	79,683
Total Bridgeport Hospital & Subsidiaries net assets (deficiency)	261,121	151,503	(413)	(151,503)	260,708
Total liabilities and net assets	\$ 694,164	152,863	653	(153,044)	694,636

See accompanying independent auditors' report.

BRIDGEPORT HOSPITAL AND SUBSIDIARIES
Consolidating Statement of Operations and Changes in Net Assets
Year ended September 30, 2025
(In thousands)

	<u>Hospital</u>	<u>Foundation</u>	<u>Properties</u>	<u>Eliminations</u>	<u>Total</u>
Net assets without donor restrictions:					
Patient service revenue	\$ 848,739	—	—	—	848,739
Other revenue	81,460	175	93	—	81,728
Total operating revenue	930,199	175	93	—	930,467
Operating expenses:					
Salaries and benefits	390,951	—	—	—	390,951
Supplies and other	554,666	175	391	—	555,232
Insurance	16,860	—	7	—	16,867
	962,477	175	398	—	963,050
Operating loss before depreciation, amortization, interest, and restructuring expenses	(32,278)	—	(305)	—	(32,583)
Depreciation and amortization	32,252	—	—	—	32,252
Interest	5,835	—	—	—	5,835
Operating loss before restructuring expenses	(70,365)	—	(305)	—	(70,670)
Restructuring Charge	7,544	—	—	—	7,544
Operating Loss	(77,909)	—	(305)	—	(78,214)
Nonoperating gains (losses), net:					
Income from investments, donations and other, net	372	10,793	11	(10,793)	383
Pension cost other than service cost, net	—	—	—	—	—
Total nonoperating gains (losses), net	372	10,793	11	(10,793)	383
(Deficiency) excess of revenue over expenses	(77,537)	10,793	(294)	(10,793)	(77,831)
Other changes in net assets without donor restrictions:					
Net assets released from restrictions for purchases of property, plant and equipment	1,863	1,863	—	(1,863)	1,863
Changes in net assets without donor restrictions	(75,674)	12,656	(294)	(12,656)	(75,968)

BRIDGEPORT HOSPITAL AND SUBSIDIARIES

Consolidating Statement of Operations and Changes in Net Assets

Year ended September 30, 2025

(In thousands)

	<u>Hospital</u>	<u>Foundation</u>	<u>Properties</u>	<u>Eliminations</u>	<u>Total</u>
Net assets with donor restrictions:					
Income from investments	\$ 1,074	645	—	(645)	1,074
Net realized and unrealized losses on investments	6,316	3,688	—	(3,688)	6,316
Bequests and contributions	2,315	2,315	—	(2,315)	2,315
Net assets released from restrictions for purchases of property, plant and equipment	(1,863)	(1,863)	—	1,863	(1,863)
Net assets released from restrictions for operations	(3,909)	(3,626)	—	3,626	(3,909)
Net assets released from restrictions for clinical programs	(999)	(175)	—	175	(999)
Other	(148)	32	—	(32)	(148)
Change in net assets with donor restrictions	<u>2,786</u>	<u>1,016</u>	<u>—</u>	<u>(1,016)</u>	<u>2,786</u>
(Decrease) increase in net assets	(72,888)	13,672	(294)	(13,672)	(73,182)
Net assets at beginning of year	<u>334,009</u>	<u>137,831</u>	<u>(119)</u>	<u>(137,831)</u>	<u>333,890</u>
Net assets (deficiency) at end of year	<u>\$ 261,121</u>	<u>151,503</u>	<u>(413)</u>	<u>(151,503)</u>	<u>260,708</u>

See accompanying notes to consolidated financial statements.

GREENWICH HOSPITAL AND SUBSIDIARIES

Consolidating Balance Sheet

September 30, 2025

(In thousands)

Assets	Greenwich Hospital	Greenwich Fertility & IVF Center, P.C.	Greenwich Pathology Associates, LLC	Greenwich Clinical Pathology Associates, LLC	Greenwich Occupational Health Services of New York, P.C.	Greenwich Occupational Health Services of New Jersey, P.C.	Eliminations	Total Hospital	The Perryridge Corporation	Eliminations	Total
Current assets:											
Cash and cash equivalents	\$ 16,174	258	514	64	—	38	—	17,048	—	—	17,048
Short-term investments	300,779	—	—	—	—	—	—	300,779	—	—	300,779
Patient receivables	69,640	648	355	44	—	—	—	70,687	—	—	70,687
Other current assets	19,251	32	—	—	51	40	(5,241)	14,133	136	(124)	14,145
Assets limited as to use – debt service fund	984	—	—	—	—	—	—	984	—	—	984
Total current assets	406,828	938	869	108	51	78	(5,241)	403,631	136	(124)	403,643
Assets limited as to use	21,891	—	—	—	—	—	—	21,891	—	—	21,891
Long-term investments	67,517	—	—	—	—	—	—	67,517	—	—	67,517
Interest in the net assets of Greenwich Hospital Endowment Fund, Inc. (GHEF)	135,023	—	—	—	—	—	—	135,023	—	—	135,023
Other assets	3,878	—	—	—	—	—	—	3,878	—	—	3,878
Right of use assets	50,684	170	—	—	—	—	—	50,854	—	—	50,854
Property, plant, and equipment, net	209,073	79	—	—	—	—	—	209,152	920	—	210,072
Total assets	<u>\$ 894,894</u>	<u>1,187</u>	<u>869</u>	<u>108</u>	<u>51</u>	<u>78</u>	<u>(5,241)</u>	<u>891,946</u>	<u>1,056</u>	<u>(124)</u>	<u>892,878</u>

GREENWICH HOSPITAL AND SUBSIDIARIES

Consolidating Balance Sheet

September 30, 2025

(In thousands)

	Greenwich Hospital	Greenwich Fertility & IVF Center, P.C.	Greenwich Pathology Associates, LLC	Greenwich Clinical Pathology Associates, LLC	Greenwich Occupational Health Services of New York, P.C.	Greenwich Occupational Health Services of New Jersey, P.C.	Eliminations	Total Hospital	The Perryridge Corporation	Eliminations	Total
Liabilities and Net Assets											
Current liabilities:											
Accounts payable and accrued expenses	\$ 68,085	20,779	869	108	—	(1)	(20,219)	69,621	14	(124)	69,511
Current portion of long-term debt	3,745	—	—	—	—	—	—	3,745	—	—	3,745
Operating lease liability – short-term	7,897	170	—	—	—	—	—	8,067	—	—	8,067
Other liabilities	7,793	—	—	—	—	—	—	7,793	—	—	7,793
Total current liabilities	87,520	20,949	869	108	—	(1)	(20,219)	89,226	14	(124)	89,116
Operating lease liability – long-term	43,526	—	—	—	—	—	—	43,526	—	—	43,526
Other liabilities	11,071	—	—	—	—	—	—	11,071	—	—	11,071
Total liabilities	142,117	20,949	869	108	—	(1)	(20,219)	143,823	14	(124)	143,713
Net assets:											
Net assets without donor restrictions	527,780	(19,762)	—	—	51	79	14,978	523,126	1,042	—	524,168
Net assets with donor restrictions	224,997	—	—	—	—	—	—	224,997	—	—	224,997
Total Greenwich Hospital & Subsidiaries net assets (deficiency)	752,777	(19,762)	—	—	51	79	14,978	748,123	1,042	—	749,165
Total liabilities and net assets	\$ 894,894	1,187	869	108	51	78	(5,241)	891,946	1,056	(124)	892,878

See accompanying independent auditors' report.

GREENWICH HOSPITAL AND SUBSIDIARIES

Consolidating Statement of Operations and Changes in Net Assets

Year ended September 30, 2025

(In thousands)

	Greenwich Hospital	Greenwich Fertility & IVF Center, P.C.	Greenwich Pathology Associates, LLC	Greenwich Clinical Pathology Associates, LLC	Greenwich Occupational Health Services of New York, P.C.	Greenwich Occupational Health Services of New Jersey, P.C.	Eliminations	Total Hospital	The Perryridge Corporation	Eliminations	Total
Net assets without donor restrictions:											
Patient service revenue	\$ 512,664	3,479	3,260	444	—	—	—	519,847	—	—	519,847
Other revenue	23,958	1,325	—	—	—	—	(6,459)	18,824	—	—	18,824
Total operating revenue	536,622	4,804	3,260	444	—	—	(6,459)	538,671	—	—	538,671
Operating expenses:											
Salaries and benefits	207,372	2,159	—	—	—	—	(2,088)	207,443	—	—	207,443
Supplies and other	323,870	3,791	3,295	448	—	—	(3,497)	327,907	(4)	—	327,903
Insurance	9,843	—	—	—	—	—	—	9,843	—	—	9,843
	541,085	5,950	3,295	448	—	—	(5,585)	545,193	(4)	—	545,189
Operating income (loss) before depreciation, amortization, interest, and restructuring expenses	(4,463)	(1,146)	(35)	(4)	—	—	(874)	(6,522)	4	—	(6,518)
Depreciation	18,578	86	—	—	—	—	—	18,664	56	—	18,720
Interest	183	874	—	—	—	—	(874)	183	—	—	183
Operating loss income before restructuring expenses	(23,224)	(2,106)	(35)	(4)	—	—	—	(25,369)	(52)	—	(25,421)
Restructuring Charge	2,709	—	—	—	—	—	—	2,709	—	—	2,709
Operating Loss	(25,933)	(2,106)	(35)	(4)	—	—	—	(28,078)	(52)	—	(28,130)
Nonoperating gains (losses), net:											
Income from investments, donations and other, net	56,331	(7)	35	4	—	9	—	56,372	—	—	56,372
Change in fair value of swap, including counterparty payments	36	—	—	—	—	—	—	36	—	—	36
Total nonoperating gains (losses), net	56,367	(7)	35	4	—	9	—	56,408	—	—	56,408
Excess (deficiency) of revenue over expenses	30,434	(2,113)	—	—	—	9	—	28,330	(52)	—	28,278
Other changes in net assets without donor restrictions:											
Net assets released from restrictions for purchases of property, plant and equipment	2,835	—	—	—	—	—	—	2,835	—	—	2,835
Changes in net assets without donor restrictions	\$ 33,269	(2,113)	—	—	—	9	—	31,165	(52)	—	31,113

GREENWICH HOSPITAL AND SUBSIDIARIES

Consolidating Statement of Operations and Changes in Net Assets

Year ended September 30, 2025

(In thousands)

	Greenwich Hospital	Greenwich Fertility & IVF Center, P.C.	Greenwich Pathology Associates, LLC	Greenwich Clinical Pathology Associates, LLC	Greenwich Occupational Health Services of New York, P.C.	Greenwich Occupational Health Services of New Jersey, P.C.	Eliminations	Total Hospital	The Perryridge Corporation	Eliminations	Total
Net assets with donor restrictions:											
Income from investments	\$ 1,008	—	—	—	—	—	—	1,008	—	—	1,008
Net realized and unrealized losses on investments	13,650	—	—	—	—	—	—	13,650	—	—	13,650
Bequest and contributions	7,370	—	—	—	—	—	—	7,370	—	—	7,370
Net assets released from restrictions for purchase of property, plant and equipment	(2,835)	—	—	—	—	—	—	(2,835)	—	—	(2,835)
Net assets released from restrictions for operations	(4,451)	—	—	—	—	—	—	(4,451)	—	—	(4,451)
Net assets released from restrictions for clinical programs	(1,243)	—	—	—	—	—	—	(1,243)	—	—	(1,243)
Net assets restricted for Greenwich Hospital Endowment Fund, Inc. (GHEF)	(6,200)	—	—	—	—	—	—	(6,200)	—	—	(6,200)
Change in beneficial interest in perpetual trusts	1,944	—	—	—	—	—	—	1,944	—	—	1,944
Other	194	—	—	—	—	—	—	194	—	—	194
Change in net assets with donor restrictions	9,437	—	—	—	—	—	—	9,437	—	—	9,437
Increase (decrease) in net assets	42,706	(2,113)	—	—	—	9	—	40,602	(52)	—	40,550
Net assets (deficiency) at beginning of year	710,071	(17,649)	—	—	51	70	14,978	707,521	1,094	—	708,615
Net assets (deficiency) at end of year	<u>\$ 752,777</u>	<u>(19,762)</u>	<u>—</u>	<u>—</u>	<u>51</u>	<u>79</u>	<u>14,978</u>	<u>748,123</u>	<u>1,042</u>	<u>—</u>	<u>749,165</u>

See accompanying independent auditors' report.

LAWRENCE MEMORIAL CORPORATION AND SUBSIDIARIES

Consolidating Balance Sheet

September 30, 2025

(In thousands)

Assets	Lawrence Memorial Hospital	Lawrence Memorial Corporation	L&M Systems	VNA of Southeastern Connecticut, Inc.	Westerly Hospital	Westerly Foundation	L&M Homecare	Eliminations	Total
Current assets:									
Cash and cash equivalents	\$ 2,031	—	—	—	7,383	6,726	7,970	—	24,110
Short-term investments	10,592	8,311	—	—	1,375	6,819	—	—	27,097
Patient receivables	75,801	—	—	—	12,430	—	—	—	88,231
Other assets	147,392	54,698	—	—	13,754	359	—	(138,190)	78,013
Total current assets	235,816	63,009	—	—	34,942	13,904	7,970	(138,190)	217,451
Assets limited as to use	10,542	19,280	—	—	6,616	—	—	(19,281)	17,157
Long-term investments	24,008	—	—	—	5,456	—	—	—	29,464
Other assets	11,862	—	—	—	—	84	347	(11,147)	1,146
Right of use assets	6,935	—	—	—	573	—	—	—	7,508
Property, plant, and equipment, net	238,345	5,430	—	—	41,948	—	—	—	285,723
Total assets	<u>\$ 527,508</u>	<u>87,719</u>	<u>—</u>	<u>—</u>	<u>89,535</u>	<u>13,988</u>	<u>8,317</u>	<u>(168,618)</u>	<u>558,449</u>

LAWRENCE MEMORIAL CORPORATION AND SUBSIDIARIES

Consolidating Balance Sheet

September 30, 2025

(In thousands)

Liabilities and Net Assets	Lawrence Memorial Hospital	Lawrence Memorial Corporation	L&M Systems	VNA of Southeastern Connecticut, Inc.	Westerly Hospital	Westerly Foundation	L&M Homecare	Eliminations	Total
Current liabilities:									
Accounts payable and accrued expenses	\$ 126,193	—	29	—	104,727	3,133	45	(138,190)	95,937
Current portion of long-term debt	3,275	—	—	—	—	—	—	—	3,275
Operating lease liability – short-term	1,381	—	—	—	51	—	—	—	1,432
Other liabilities	7,682	—	—	—	1,084	—	—	—	8,766
Total current liabilities	138,531	—	29	—	105,862	3,133	45	(138,190)	109,410
Long-term debt, net of current portion and deferred financing costs	36,142	—	—	—	—	—	—	—	36,142
Accrued pension and postretirement benefit obligations	70	—	—	—	—	—	—	—	70
Operating lease liability – long-term	5,554	—	—	—	523	—	—	—	6,077
Other liabilities	11,005	—	—	—	12,660	—	—	(11,147)	12,518
Total liabilities	191,302	—	29	—	119,045	3,133	45	(149,337)	164,217
Net assets (deficiency):									
Net assets without donor restrictions	299,763	87,719	(29)	—	(41,576)	9,041	8,272	(19,281)	343,909
Net assets with donor restrictions	36,443	—	—	—	12,066	1,814	—	—	50,323
Total Lawrence Memorial Corporation & Subsidiaries net assets (deficiency)	336,206	87,719	(29)	—	(29,510)	10,855	8,272	(19,281)	394,232
Total liabilities and net assets	\$ 527,508	87,719	—	—	89,535	13,988	8,317	(168,618)	558,449

See accompanying independent auditors' report.

LAWRENCE MEMORIAL CORPORATION AND SUBSIDIARIES

Consolidating Statement of Operations and Changes in Net Assets

Year ended September 30, 2025

(In thousands)

	Lawrence Memorial Hospital	Lawrence Memorial Corporation	L&M Systems	VNA of Southeastern Connecticut, Inc.	Westerly Hospital	Westerly Foundation	L&M Homecare	Eliminations	Total
Net assets without donor restrictions:									
Patient service revenue	\$ 504,994	—	—	—	125,755	—	—	—	630,749
Other revenue	28,344	—	—	—	1,552	—	—	—	29,896
Total operating revenue	533,338	—	—	—	127,307	—	—	—	660,645
Operating expenses:									
Salaries and benefits	219,174	—	—	—	63,807	—	—	—	282,981
Supplies and other	278,845	—	—	—	65,110	34	—	—	343,989
Insurance	5,837	—	—	—	2,483	—	—	—	8,320
	503,856	—	—	—	131,400	34	—	—	635,290
Operating income (loss) before depreciation, amortization, interest, and restructuring expenses	29,482	—	—	—	(4,093)	(34)	—	—	25,355
Depreciation and amortization	13,447	—	—	—	4,849	—	—	—	18,296
Interest	1,611	—	—	—	—	—	—	—	1,611
Operating (loss) income before restructuring expenses	14,424	—	—	—	(8,942)	(34)	—	—	5,448
Restructuring Charge	2,787	—	—	—	972	—	—	—	3,759
Operating gain (loss)	11,637	—	—	—	(9,914)	(34)	—	—	1,689
Nonoperating gains (losses), net:									
Income from investments, donations and other, net	654	881	—	—	326	1,247	730	—	3,838
Pension cost other than service cost, net	385	—	—	—	—	—	—	—	385
Total nonoperating gains (losses), net	1,039	881	—	—	326	1,247	730	—	4,223
Excess (deficiency) of revenue over expenses	12,676	881	—	—	(9,588)	1,213	730	—	5,912
Other changes in net assets without donor restrictions:									
Net assets released from restrictions for purchases of property, plant and equipment	3,181	—	—	—	—	232	—	—	3,413
Pension and postretirement related changes other than net periodic benefit cost	24,784	—	—	—	—	—	—	—	24,784
Changes in net assets without donor restrictions	40,641	881	—	—	(9,588)	1,445	730	—	34,109

LAWRENCE MEMORIAL CORPORATION AND SUBSIDIARIES

Consolidating Statement of Operations and Changes in Net Assets

Year ended September 30, 2025

(In thousands)

	Lawrence Memorial Hospital	Lawrence Memorial Corporation	L&M Systems	Westerly Hospital	Westerly Foundation	L&M Homecare	Eliminations	Total
Net assets with donor restrictions:								
Income from investments	\$ 380	—	—	84	—	—	—	464
Net realized and unrealized losses on investments	2,176	—	—	508	—	—	—	2,684
Bequests and contributions	823	—	—	202	608	—	—	1,633
Net assets released from restrictions for purchases property, plant and equipment	(3,181)	—	—	—	(232)	—	—	(3,413)
Net assets released from restrictions for operations	(1,811)	—	—	(260)	(58)	—	—	(2,129)
Net assets released from restrictions for clinical programs	(143)	—	—	(222)	—	—	—	(365)
Change in beneficial interest in perpetual trust	661	—	—	399	—	—	—	1,060
Other	43	—	—	97	18	—	—	158
Change in net assets with donor restrictions:	(1,052)	—	—	808	336	—	—	92
Increase (decrease) in net assets	39,589	881	—	(8,780)	1,781	730	—	34,201
Net assets (deficiency) at beginning of year	296,617	86,838	(29)	(20,730)	9,074	7,542	(19,281)	360,031
Net assets (deficiency) at end of year	\$ 336,206	87,719	(29)	(29,510)	10,855	8,272	(19,281)	394,232

See accompanying independent auditors' report.

Yale New Haven Health Obligated Group
Operating Data
Twelve Months Ended September 30, 2025 and 2024

Current Reporting Period	
Twelve Months Ended	Twelve Months Ended
9/30/2025	9/30/2024

1) Operating Data

# of Admitted Inpatient Licensed Beds	2,681	2,681
Normal Operating Bed Spaces ⁽¹⁾	2,685	2,530
Discharges	125,994	126,968
Inpatient Days	795,395	797,363
Average Length of Stay	6.31	6.28
Occupancy Rate ⁽¹⁾	81%	86%
Outpatient Encounters	2,840,746	2,696,538
Emergency Encounters ⁽³⁾	337,551	365,440
Inpatient Surgeries	29,914	29,662
Ambulatory Surgeries	62,965	61,608
Urgent Care Encounters ⁽³⁾	390,704	406,793
Debt Service Coverage Ratio	2.28	3.95
Days Cash on Hand	194	207
Medicare Case Mix Index	1.95	1.93
Hospital Wide Case Mix Index	1.77	1.72
FTEs per Adjusted Occupied ⁽²⁾	6.6	6.8

⁽¹⁾ In the second quarter of FY 2025, YNHHS modified its method for measuring capacity. Normal Operating Bed Space was implemented as an objective metric for purposes of measuring hospital capacity, excluding expansions of capacity required during high-volume patient surge. While total occupancy will always fall within/below the count of inpatient licensed beds, Normal Operating Bed Space is used as a standard measure for bed management operations, which takes into consideration all potential spaces for occupancy. The measurement for September 30, 2024 represents Beds in Service as previously reported.

⁽²⁾ FTEs do not include travelers

⁽³⁾ Prior to June 30, 2025, YNHHS reported encounters related to one Urgent Care location as encounters within the Emergency Encounters caption. As of June 30, 2025 and September 30, 2025, all Urgent Care Encounters are reported separately.

2) Payor Mix

Nongovernmental	49.2%	50.3%
Medicare (includes Medicare Managed Care)	37.1%	35.7%
Medicaid	13.7%	14.0%
Total	100.0%	100.0%

3) Occupancy % By Payor Type

Nongovernmental	23.0%	23.6%
Medicare (includes Medicare Managed Care)	51.9%	50.7%
Medicaid	25.1%	25.7%
Total	100.0%	100.0%

Yale New Haven Health Services
Liquidity Summary
September 30, 2025

(in Thousands)

Daily Liquidity

Cash (bank depository accounts)	\$	606,588
Money Market	\$	35,297
U.S Treasury Securities with maturities of less than 2 years		525,223
U.S Treasury Securities with maturities of 2 to five years		-
Liquidity Accessible in One Day	\$	1,167,108

Weekly Liquidity

Exchange Traded Equities		788,386
Equity Funds		51,125
Total Weekly Liquidity	\$	839,511
Liquidity Accessible in Seven Days (including Daily amount)	\$	2,006,619

Monthly Liquidity

Equity Funds		281,156
Multi Strategy Funds		275,150
Total Monthly Liquidity	\$	556,305
Liquidity Accessible in 30 Days (including Daily and Weekly amounts)	\$	2,562,924

Liabilities Supported by Self Liquidity

Series C Bonds (2008)	\$	3,745
Series O Bonds (2013)		50,000
Series D Bonds (2014)		108,275
Series 2024C Bonds (2024)		337,000

Total	\$	499,020
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